STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.	**CASE 25-E-0072**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.	**CASE 25-G-0073**

TESTIMONY OF WILLIAM D. YATES, CPA

FOR THE

PUBLIC UTILITY LAW PROJECT OF NEW YORK, INC.

Dated: May 30, 2025

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Overview

Introduction

Q. Please state your name, business address, and identify for whom you are presenting testimony in these proceedings.

A. My name is William D. Yates, my office address is at the Public Utility Law Project of New York, Inc., 194 Washington Avenue - Suite 320, Albany, NY 12210. I am presenting testimony in these proceedings for the Public Utility Law Project of New York, Inc. ("PULP").

Q. Please describe PULP and your relationship to the organization.

A. PULP is a New York not-for-profit corporation that was formed in 1981. Its primary focus is to promote and defend the legal rights of residential utility consumers by educating the public, regulators, and elected officials about the impacts of utility rates, conducting research on the rights and energy burden of utility consumers, and through advocacy, emphasizing the rights and needs of low-income utility consumers. I have been employed by PULP in various capacities since July of 1990. I am currently Director of Research for PULP.

Q. What is your educational background, your professional qualifications, and employment history?

A. I am a graduate of Colgate University (B.A. in History, 1982) and a graduate of the New York University Stern School of Business Administration (M.S. in Accounting, 1987). I am a Certified Public Accountant ("CPA"), licensed to practice in New York State since 1987, and I am a member of the American Institute of Certified Public Accountants ("AICPA").

Q. Have you previously testified before the New York State Public Service Commission?

A. Yes, I have provided testimony before the Public Service Commission ("PSC" or "Commission") on behalf of PULP in several prior proceedings, including the following cases in 2012 and 2013, and from 2016 through the present:

Cases 12-E-0201 and 12-G-0202 (Niagara Mohawk, a/k/a National Grid-Upstate);

Cases 13-E-0030 and 13-G-0031 (Con Edison);

Cases 16-E-0058 and 16-G-0059 (National Grid-NY; and National Grid-LI);

Cases 16- E-0060 and 16-G-0061 (Con Edison);

Case 16-G-0257 (National Fuel Gas);

Cases 15-M-0127, 12-M-0476 and 98-M-1343 (ESCO Evidentiary Proceeding);

Cases 17-E-0238 and 17-G-0239 (Niagara Mohawk);

Cases 17-E-0459 and 17-G-0460 (Central Hudson);

Cases 18-E-0067 and 18-G-0068 (Orange and Rockland);

Cases 19-E-0065 and 19-G-0066 (Con Edison);

Cases 19-G-0309 and 19-G-0310 (National Grid-NY; and National Grid-LI);

Cases 19-E-0378, 19-G-0379, 19-E-0380 and 19-G-0381 (NYSEG & RG&E);

Cases 20-E-0380, 19-G-0381 (Niagara Mohawk, a/k/a National Grid-Upstate);

Cases 20-E-0428, 19-G-0429 (Central Hudson);

Cases 21-G-0073 and 21-E-0074 (Orange and Rockland);

Cases 22-E-0064 and 22-G-0065 (Con Edison);

Cases 22-E-0317, 22-G-0318, 22-E-0319 and 22-G-0320 (NYSEG & RG&E);

Cases 23-G-0225 and 23-G-0226 (National Grid-NY; and National Grid-LI);

Cases 23-E-0418 and 23-G-0419 (Central Hudson);

Cases 23-G-0627 (National Fuel Gas);

Cases 24-E-0060 and 24-G-0061 (Orange and Rockland);

Cases 24-E-0322 and 24-G-0323 (Niagara Mohawk), and;

Cases 24-E-0461 and 24-G-0462 (Central Hudson).

In Cases 12-E-0201 and 12-E-0202, I testified regarding the experience of utility customers of Niagara Mohawk who entered into contracts for "commodity" (or "supply") with energy service companies ("ESCOs"). The testimony I provided in that case was the first time that evidence of ESCOs systematically charging more than the utility was put forward in a PSC rate case.

In Cases 13-E-0030 and 13-G-0031, I testified regarding the Joint Proposal's low-income assistance changes, and data reflected in Collection Activity Reports ("CARs") filed monthly by Con Edison, concerning its residential customers with arrears who were at risk of actual or threatened interruption of utility service.

In Cases 15-M-0127, 12-M-0476 and 98-M-1343, I submitted direct and rebuttal testimony on ESCO excess electric and gas charges.

In Cases 16-G-0058 and 16-G-0059, I testified regarding affordability issues, matters relating to the Home Energy Fair Practices Act ("HEFPA"), and rate design in the KEDNY and KEDLI service areas of National Grid. I also provided testimony concerning the cost of SIRs and superfund site cleanup.

In Cases 16-E-0060 and 16-G-0061, I testified regarding affordability issues, HEFPA related matters and rate design in the Con Edison service area.

In Case 16-G-0257, I testified concerning affordability issues, rate design and low-income program funding in the National Fuel Gas service area.

In Cases 17-E-0238 and 17-G-0239, I testified concerning affordability issues, HEFPA related matters, collection practices, AMI, certain issues concerning medical conditions and low-income program funding in the Niagara Mohawk service area.

In Cases 17-E-0459 and 17-G-0460, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, electric vehicles subsidies, employee stock purchase plan matters, and reliability challenges in the Central Hudson service area.

In Cases 18-E-0067 and 18-G-0068, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and identification procedures in the Orange and Rockland Utilities service area.

In Cases 19-E-0065 and 19-G-0066, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and customer complaints in the Con Edison service area.

In Cases 19-G-0309 and 19-G-0310, I testified concerning affordability issues, rate design, HEFPA related matters, collection practices, and customer complaints in the KEDNY and KEDLI service areas.

In Cases 19-E-0378, 19-G-0379, 19-E-0380, and 19-G-0381, I testified concerning affordability issues, rate design, HEFPA related matters, collections practices, closure of customer service offices, and customer complaints in the NYSEG and RG&E service areas.

In Cases 20-E-0380 and 20-G-0381, I testified concerning affordability issues, rate design, HEFPA related matters, collections practices, advanced metering infrastructure, low- and moderate-income energy efficiency, and customer complaints in the Niagara Mohawk service area.

In Cases 20-E-0428 and 20-G-0429, I testified concerning affordability issues, rate design, HEFPA related matters, collections practices, low- and moderate-income energy efficiency, and customer complaints in the Central Hudson service area.

In Cases 21-G-0073 and 21-E-0074, I testified concerning affordability issues, rate design, low- and moderate-income energy efficiency, and language access in the Orange and Rockland service area.

In Cases 22-E-0064 and 22-G-0065, I testified concerning affordability issues, rate design, and customer service issues in the Con Edison service area.

In Cases 22-E-0317, 22-G-0318, 22-E-0319 and 22-G-0320, I testified concerning affordability issues, rate design, and customer service issues in the NYSEG and RG&E service areas.

In Cases 23-G-0225 and 23-G-0226, I testified concerning affordability issues, return on equity considerations, HEFPA related matters, collection practices, and other customer service issues in the KEDNY and KEDLI service areas.

In Cases 23-E-0418 and 23-G-0419, I testified concerning billing system matters, affordability issues, return on equity considerations, and customer service issues in the Central Hudson service area.

In Case 23-G-0627, I testified concerning affordability issues, return on equity considerations, and customer service issues in the National Fuel Gas service area.

In Cases 24-E-0060 and 24-G-0061, I testified concerning affordability issues, return on equity considerations, and customer service issues in the Orange and Rockland service area.

In Cases 24-E-0322 and 24-G-0323, I testified concerning affordability issues, return on equity considerations, and customer service issues in the Niagara Mohawk service area.

In Cases 24-E-0461 and 24-G-0462, I testified concerning affordability issues, return on equity considerations, and customer service issues in the Central Hudson service area.

Definitions

Q. What is "ACS Microdata"?

A. The American Community Survey ("ACS") microdata consist of individual records with information about the characteristics of each person and housing unit in the survey. The ACS Public Use Microdata Sample ("PUMS") includes a subsample of the ACS microdata, excluding personalized information. The PUMS represents about two-thirds of the responses collected in the ACS in a specific 1-year or 5-year period.[1]

Q. What are "Public Use Microdata Areas"?

A. Public Use Microdata Areas ("PUMAs") are non-overlapping statistical geographic areas, each comprised of a collection of U.S. census tracts, that partition each state or equivalent entity into geographic areas containing no fewer than 100,000 people each.[2]

[1] *See*, *Understanding and Using the American Community Survey Public Use Microdata Sample Files - What Data Users Need to Know*, U.S. Census Bureau. Available at: https://www.census.gov/content/dam/Census/library/publications/2021/acs/acs_pums_handbook_2021.pdf.
[2] *See*, *Public Use Microdata Areas (PUMAs)*, U.S. Census Bureau. Available at: https://www.census.gov/programs-surveys/geography/guidance/geo-areas/pumas.html.

Q. What is the "Con Edison Service Area" in the context of your testimony in these proceedings?

A. The Con Edison service area includes all PUMAs in: 1) New York City, except for the Far Rockaways (PUMA 4414), and; 2) Westchester County, except for certain areas in the northeastern corner of the county (PUMA 3103) where NYSEG provides service to about 25,000 households. This geography aligns with the Company's service area definitions in its electric[3] and gas[4] tariffs.

Q. What are "HEAP-Eligible Households" in the context of your testimony in these proceedings?

A. HEAP-Eligible Households are New York State households who could be considered presumptively eligible for non-emergency Home Energy Assistance Program ("HEAP") benefits by virtue of the income they reported in the U.S. Census Bureau's 2023 American Community Survey, their household size, and their reported payment for utility electric or gas service.

Q. What is "Enhanced EAP" or "E-EAP"?

A. "Enhanced EAP", or "E-EAP" is a program proposed by DPS Staff, in consultation with the EAP Working Group in Cases 14-M-0565 and 23-M-0298, that would establish a new, expanded, discount program for residential customers who do not currently qualify for the existing utility energy affordability programs, but whose income is below the state median income (SMI), as was directed in the appropriation language of New York State's fiscal year 2023 – 2024 budget. Staff recommends that individual utility Enhanced EAPs operate under the general framework and budgets of existing utility EAPs.[5]

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[3] *See*, *Consolidated Edison Company of New York, Inc. Schedule For Electricity Service*, at Leaf 11. Available at: https://ets.dps.ny.gov/ets_web/search/showPDF.cfm?M%3AIS%20%3B%2A%29LOUNWD%5CJ%5E8%2B%22%2B5%2F0MD%2F0%28%23%21Z%27Q%5C%3FXU2R%2AK%3AR%5CA%5B%2A2H%22N%5EAISF%20XNY%0A%27N7JEJK%5F%2CB%40%20%20%0A.

[4] *See*, *Consolidated Edison Company of New York, Inc. Schedule For Gas Service*, at Leaf 9. Available at: https://ets.dps.ny.gov/ets_web/search/showPDF.cfm?M%3AIS%20%3B%2A%29LOUNWD%5CJ%5E8%2B%22%2B5%2F0MD%2F0%28%2312%29Q%5C%3FZU2R%2AK%3AR%5CA%5B%2A2H%22N%5EAISF%20XNY%0A%27N7JEJK%5F%2CB%40%20%20%0A.

[5] *See*, Cases 14-M-0565, 23-M-0298, *Staff White Paper on Implementing an Enhanced Energy Affordability Policy*. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={0076A995-0000-C691-A194-7501DFA73E7E}.

Purpose Of Testimony

Q. What is the purpose of your testimony in these proceedings?

A. The purpose of my testimony is to identify the energy affordability challenges faced by low-income households in the Con Edison service area, and how those challenges may be impacted by the Company's proposals in these proceedings. It is also to make certain recommendations about ways that energy affordability and customer service could be improved for Con Edison's residential customers.

Q. Are you sponsoring any exhibits?

A. Yes. I am sponsoring fourteen (14) exhibits, as follows:

- Exhibit__(WDY-01): A set of analyses I prepared to support various findings and recommendations in my testimony.
- Exhibit__(WDY-02): The computer code I used to query the most recent (2023) American Community Survey microdata ("ACS Microdata") made available by the U.S. Census Bureau for energy burden-related variables for households in the Con Edison service area.
- Exhibit__(WDY-03): A further set of analyses, all of which pertain to my findings and recommendations regarding the authorized return on equity ("ROE") to be determined for the Company in these proceedings.
- Exhibit__(WDY-04): The Company's responses to information requests ("I/Rs") issued by PULP in these proceedings (certain of which include attachments).
- Exhibit__(WDY-05): 1) A June 26, 2024 response to a Freedom of Information Law ("FOIL") request submitted by PULP to the New York State Department of Public Service pertaining to the number of electric submetered buildings in New York State, including the Con Edison service area, and; 2) an April 15 2025 PULP/AARP letter urging the Department of Public Service ("DPS") to request that the electric and gas utilities take numerous actions to help customers manage their arrears, and ultimately help them prevent service termination for nonpayment.

- Exhibit__(WDY-06): The Company's responses to information requests ("I/Rs") issued by certain other parties in these proceedings.
- Exhibit__(WDY-07): A set of charts and tables that summarize data I use in my testimony.
- Exhibit__(WDY-08): Fisher, Sheehan & Colton's ("FSC") most recent report on the Home Energy Affordability Gap in New York State by county, including The Bronx, Kings, New York, Queens, Richmond and Westchester.
- Exhibit__(WDY-09): The computer code I used to query the 2019 ACS Microdata made available by the U.S. Census Bureau for energy burden-related variables for households in the Con Edison service area; as well as the results of queries executed against these data.
- Exhibit__(WDY-10): Redacted Office of Temporary and Disability Assistance ("OTDA") Fair Hearing Decisions from 2021 through 2024 pertaining to Con Edison customers who disputed the adequacy of their Home Energy Assistance Program benefits because they asserted that they were directly responsible for payment of their primary heating costs.
- Exhibit__(WDY-11): A set of analyses I created using the Company's responses to certain PULP I/Rs; data on disadvantaged communities furnished by the Climate Justice Working Group ("CJWG"); and the results of selected queries executed against 2023 ACS Microdata, the computer code for which is referenced to Exhibit__(WDY-02).
- Exhibit__(WDY-12): A second set of results of selected queries executed against 2023 ACS Microdata, the computer code for which is referenced to Exhibit__(WDY-02).
- Exhibit__(WDY-13): A third and final set of results of selected queries executed against 2023 ACS Microdata, the computer code for which is referenced to Exhibit__(WDY-02).

- Exhibit__(WDY-14): A further set of company's responses to information requests ("I/Rs") issued by PULP in these proceedings (certain of which include attachments).

Findings

Q. What are the major findings of your testimony in these proceedings?

A. My testimony examines affordability and customer service matters in several areas including but not limited to evidence that:

1. Under the Company's one-year proposal, the average monthly electric delivery bill increase for residential customers would be about 19%. For residential gas, the increase would be approximately 25%. Over three years, cumulative electric and gas delivery bill impacts would approach 42% and 45%, respectively. Con Edison also proposes to raise monthly fixed charges for both electric and gas service.

2. Under the Company's proposals, and assuming Con Edison's Rate Year budget for EAP does not exceed the Commission's 2% Cap, delivery bills for Tier 1 electric EAP participants with average monthly usage up to 300 kWh would decrease; while participants with monthly usage of 375 kWh would see their delivery bills increase by about $2.00. For gas, average EAP heating delivery bills increases would likely be more than offset for all tiers. In contrast, average usage participants in all non-heating gas tiers would experience 17% increases in their delivery bills.

3. The average number of EAP program participants in arrears rose 9% from 2019 through March 2025, while the amount these participants owed rose collectively by 133% (from $109 million to $253 million), and per customer by 114% ($1,796 vs. $839). The percentage of EAP participants in arrears remained relatively stable, in the range of 30% - 31%.

4. In contrast, the number of non-EAP accounts past due increased 89% from 2019 through March 2025, while the amount these customers owed rose collectively by 214% (from $205 million to $643 million), and per customer by 66% ($2,060 vs. $1,243). The percentage of Non-EAP customers in arrears nearly doubled, from about 6% to almost 12%.

5. The number of Con Edison residential customers experiencing service termination since the resumption of collections activity had been limited, until March when the Company terminated service to almost 15,000 residential customers — the highest monthly number in over twenty years — only to followed by almost 29,000 residential terminations in April, for a two-month total of almost 44,000 shut-offs. Monthly terminations could rise further for those customers not resolving their arrears by entering into HEFPA Deferred Payment Agreements ("DPAs") and/or receiving sufficient bill payment assistance through DSS, entry into EAP, or by other means. However, and importantly, it is encouraging to note that the Company increased the number of outstanding DPAs from March 2024 to April 2025 by 44%, or 62,000, to 204,500; and that more than half of the residential customers experiencing service termination in March and April were able to get re-connected by entering into DPAs. It is also highly significant that, net, 15,500 more customers had their service re-connected in March and April than had their service terminated (59,500 re-connections versus 44,000 shut-offs). That said, the termination and reconnection dynamics of this new phase of collections activity are at an early stage, and I remain very concerned that many vulnerable customers who cannot afford their utility bills may ultimately be included amongst those whose service is terminated; and/or who are unable to satisfy the terms of the DPAs they have entered into to resolve their arrears.

6. At the federal level, consideration is being given to reducing or eliminating expenditures for many assistance programs, most notably HEAP, Supplemental Nutrition Assistance Program ("SNAP"), and Medicaid. Many low-income utility customers depend on HEAP and Emergency HEAP for financial assistance when they fall behind. This comes just as demand for HEAP among New Yorkers has put the State's already limited resources under strain. Curtailment or elimination of these programs could have a concomitant negative impact on EAP enrollment. It is possible that recently enacted statewide matching legislation, together with efforts to establish an "Enhanced EAP" program, as currently being considered in Cases 14-M-0565 and 23-M-0298, could mitigate some of the negative consequences of any federal actions that reduce low-income assistance.

7. Based on my analysis of the most recent ACS Microdata published by the U.S. Census Bureau, and the Company's responses to PULP I/Rs, I estimate that:

   A. There are approximately 907,000 households in the Con Edison service area who are presumptively eligible for HEAP (hereinafter "HEAP-eligible").

   B. The total energy burden of HEAP-eligible households averaged 10.5% of income in 2023, 75% higher than the Commission's maximum 6% of household income target (hereinafter "six percent of income target" or "6% target").[6]

   C. About 58% of these households reported total energy burdens greater than the 6% target; while 39% reported total energy burdens exceeding ten percent (10%) of their incomes, indicating that they were "severely burdened" by their energy costs.[7]

   D. The electric-only energy burdens reported by these households averaged 7.1% of their income in 2023, more than two times the Commission's maximum 3% of household income target. About 74% reported electric-only energy burdens greater than the 3% target; and 53% reported electric-only energy burdens exceeding five percent (5%) of their incomes.

   E. About 41% of HEAP-eligible households in the Con Edison service area reported incomes at or below the federal poverty level ("FPL") in 2023. Another 13% reported incomes between 100% and 130% of the FPL. The remaining 44% reported incomes above 130% of the FPL and up to 60% of the State median income ("SMI")—with 72% of this cohort indicating that they had one or more vulnerable members such as a child under six years of age, an adult aged sixty or older, or a person(s) with disabilities.

[6] *See*, Case 14-M-0565, *Order Adopting Low Income Program Modifications and Directing Utility Filings*,at 3. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={BC2F31C9-B563-4DD6-B1EA-81A830B77276}.

[7] *See*, *How High Are Household Energy Burdens?*, American Council for an Energy-Efficient Economy ("ACEEE"), at ii. Available at: https://www.energy.gov/sites/default/files/2022-10/16.%20How%20high%20are%20household%20energy%20burdens_ds_0.pdf.

F. Approximately 865,000 households in the service area are Con Edison customers who are potentially eligible to participate in EAP.

8. Data included in the Disadvantaged Communities Indicators Workbook[8] to the Climate Justice Working Group's Final Disadvantaged Communities Criteria show that the energy burdens of disadvantaged communities ("DACs") in the Company's service area are, on average, in higher statewide percentiles than Con Edison Non-DAC communities, indicating that energy affordability for DACs in the Company's service area is already more challenged than in its communities not designated as disadvantaged.

9. Overall, EAP enrollment at Con Edison has made limited progress since 2019. From calendar years 2019 through March 2025, average EAP enrollment rose from 430,553 to 454,262 participants, representing a 6% increase. Self-certification appears to have been responsible for much of the increase; in fact, it is entirely possible that participation would have declined absent Con Edison's efforts during the current rate plan to expand access to this method of enrollment. Relatedly, the Company has identified that customers participating in certain EAP qualifying programs, such as Medicaid, are not included in the automatic quarterly match process with New York City's Human Resources Administration ("HRA") and Department of Social Services ("DSS") because the agencies lack sufficient authority to share data required to conduct the match.

10. Con Edison customers in highly energy burdened DAC communities, as defined by the CJWG, are twice as likely to be enrolled in EAP (on average, 26% of customers) than are customers in Non-DAC communities *with the same energy burdens* (just 13% of customers). This disparity is most pronounced in the Bronx, where customers residing in high energy burden DACs are more almost three times as likely to be enrolled in EAP as customers in equivalently burdened Non-DACs (34.2% vs. 12.8%).

[8] *See*, *Technical Documentation Appendix: Disadvantaged Communities Indicators Workbook [XLSX]* at Column BH. Available at: https://climate.ny.gov/-/media/Project/Climate/Files/Disadvantaged-Communities-Criteria/Technical-Documentation-Appendix-Final-Disadvantaged-Communities-Indicator-Workbook.xlsx.

11. Department of Public Service ("DPS") Staff's Return On Equity Model ("SRM") data from electric, gas and steam rate cases from 2010 through 2024 indicate that, net of earnings sharing, Con Edison customers were burdened in most settled proceedings by delivery rates based on fixed ROEs exceeding SRM costs of equity produced in testimony in subsequent rate cases, costing them up to an estimated $781.9 million more in delivery charges since 2010 than would been the case had these plans provided for a check on the unrealistic expectations for cost of equity inherent in the authorized ROEs in these proceedings.

12. I estimate that Con Edison provides language translation support to about 80% of households in its service area who report having limited English proficiency ("LEP"), and that expanding translation support to households speaking Bengali, Polish, Haitian-Creole, Urdu, or Yiddish would raise that total to approximately 88% of LEP households. It would also align the Company's language access services with Local Law 30, which requires covered New York City agencies to provide language access services for the City's ten official languages.

13. I estimate that there are about 750,000 households potentially eligible to have their accounts coded for Elderly, Blind, and/or Disabled ("EBD") protections in the Company's service area, with approximately 405,000 reporting that each member of their household is aged 62 years or older. As of December 31, 2023, 187,847 elderly Con Edison customers were coded for EBD protections, rising to 208,820 by the end of 2024.

14. Calculations supporting Con Edison's EAP discounts for the 2024 – 2025 program year show that the undiscounted average monthly bills for electric heating was $251.87, compared to $139.29 for non-heating. This means that average usage Tier 1 and 2 EAP participants who assume the cost of their heating through electrification would incur annual electric bill increases of approximately $1,350. From 2019 through 2023, I estimate that the number of HEAP-eligible households in the Company's service area reporting paying for their own electric heating rose 50%, from approximately 70,000 to 108,000. On average, I estimate that households making this transition experienced increases in their electric-only energy burdens from 6.4% to 9.2%.

15. Decisions in OTDA fair hearings from 2021 through 2024 provide credible evidence that some Con Edison customers received only "Renters HEAP" because their accounts were coded as "electric non-heating"; but that they may indeed have been responsible for and paying for their own electric heating needs with electricity provided by the Company. In such situations, customers whose accounts would more appropriately be coded as "electric heating" miss out on the level of assistance they need to pay for their heating needs, in amounts I estimate range from $350 - $1,800 annually.

16. In March 2025, Con Edison sent almost 12,000 service termination notices to multiple dwelling accounts in New York City and Westchester County. The number of accounts eligible for field action in March included 3,255 in New York City and 270 in Westchester. I am acutely concerned that going forward, there is an alarming risk that terminations to multiple dwelling buildings could be widespread, potentially affecting utility service of tens of thousands of residential customers in the Company's service area.

Recommendations

Q. In light of your findings, what are your recommendations for improving utility affordability and customer service for the Company's low-income customers?

A. I recommend several actions that should be taken to improve utility affordability and customer service for many of the Company's customers, including but not limited to the following:

1. In these proceedings, the parties and the Commission should endeavor to limit residential bill impacts to the minimum necessary to ensure safe, reliable service at just and reasonable rates; and to achieve statewide policy objectives such as low-income energy affordability and the requirements of the Climate Leadership and Community Protection Act ("CLCPA"). This effort should include, but not be limited to:

    - Basing the Company's authorized ROE upon Staff's Return On Equity Model in a one-year case. I recommend that any multi-year settlement in these proceedings include an annual "true-up" of Con Edison's authorized

ROE to the Department of Public Service's Staff ROE Model for each year; a deferral of any revenues derived from authorized ROE in excess of or below true-up ROE; and an additional deferral of revenues subject to sharing with customers because they were derived from actual ROEs exceeding true-up ROE (hereinafter, "true-up and sharing mechanism"). I further propose that a study be conducted during the rate plan; the objective of which would be to estimate the potential range of impacts that "truing-up" authorized ROE to SRM output annually from 2010 to 2024 would have had upon Con Edison's cost of capital, and upon the incremental resources that would have been necessary for parties to participate in the Company's rate cases;

- In the event that my proposal for a true-up and sharing mechanism is not included in a multi-year settlement, but an earnings sharing mechanism ("ESM") is included, I propose that such an ESM have no "dead band" and provide for equal sharing between shareholders and ratepayers of any earnings derived from actual returns in excess of authorized ROE, modified to reserve 90% of any earnings derived from actual returns exceeding 150 basis points of authorized ROE for customers;

- Exploring alternative rate designs that would, at a minimum, freeze Con Edison's monthly residential fixed charges and, more generally, reward conservation and energy efficiency through lower delivery bills, and;

- Addressing any disproportionate burden the Companies' proposals could impose on disadvantaged communities identified as vulnerable by virtue of energy poverty/cost burden and other income-related indicators. No proposals should be adopted that are inconsistent with CLCPA Section 7(3).

2. In any multi-year settlement resulting from these proceedings, I recommend that the Company's proposal to license the Opower Affordability Suite ("Opower") for purposes of enrolling customers in its affordability programs be approved, contingent upon a commitment by Con Edison to use Opower to increase the

percentage of customers enrolled in EAP in highly energy burdened Non-DAC communities to equal the percentage of EAP enrolled customers in DACs with the same high energy burdens.

3. I recommend that a customer service quality metric ("CSQM") be adopted that, on a monthly basis, tracks EAP self-certifications and Manual enrollments by the Company. The Company would file quarterly reports in this proceeding and Case 14-M-0565 tracking the monthly activity for each category. To help promote a better, more "real-time" understanding of what is working, or not working, pertaining to EAP enrollment efforts, such reports would also include narrative explanations of Con Edison's activities during the period and its assessment of the reasons for material changes in self-certifications and manual enrollments. The proposed metric would not have any associated positive or negative revenue adjustments, since its main purpose would simply be to provide more timely insights on the effectiveness of the self-certification process.

4. In any multi-year settlement in these proceedings, should federal funding for HEAP, SNAP, Medicaid or any other EAP eligibility-conferring programs be curtailed or eliminated in a way that materially reduces the number of Con Edison customers who would be eligible for EAP based on the current energy affordability framework, I propose that Con Edison submit a petition to the Commission to suspend dis-enrollments of EAP participants until such time as the State has been able to offset the negative impacts upon enrollment caused by such reductions or elimination. Mitigating offsets could be expected to include a combination of additional State funding for EAP and/or changes to the overall energy affordability framework.

   Should it be possible for Con Edison to suspend dis-enrollments of EAP participants without the need for a Commission Order, I recommend that the Company take this step accordingly.

5. In any multi-year settlement in these proceedings, I support Con Edison's proposal to expand the languages for which it provides translations to include Bengali, Polish, Haitian-Creole, Urdu, and Yiddish. I also generally support the Company's

efforts to find ways to translate emails into multiple languages; and to seek similar translation technologies solutions that can be adopted in preparation for the retirement of Google Translate.

6. Additionally, as has been proposed by the settling parties in Cases 24-E-0461 et. al.[9], I recommend that Con Edison implement a plan to code previously uncoded residential customer accounts as LEP when a customer self-identifies during the collections process and provide a 15-day extension during which the Company will not pursue service termination. I propose that this 15-day window be triggered at any time in the overall collections process, regardless of the point at which the customer self-identifies as LEP (e.g., Reminder Notice, Final Termination Notice, outbound phone call, etc.).

7. In any multi-year settlement in these proceedings, I recommend the Company agree to include screening for EBD eligibility in all collections-related interactions with customers, as urged by PULP and AARP in their April 15, 2025, joint letters to the PSC and the State's major electric and gas utilities. The goal of such interactions with elderly, blind, or disabled customers should be to make sure they coded as such, to help them manage their arrears, and ultimately to help them prevent service termination for nonpayment.

8. In any multi-year settlement in these proceedings, I support, with modification, Con Edison's proposal to conduct an Affordable Multifamily Electrification Pilot program designed to address an anticipated "cost shift" stemming from heating electrification in certain multifamily (i.e., five or more units) buildings by providing bill credits to eligible EAP enrolled/eligible residents to cover incremental heating costs. While the pilot, as proposed, would focus on situations in which residents of unregulated "naturally occurring affordable housing" ("NOAH") had their heating converted to in-unit heat pump systems; I recommend that the proposal be modified to proactively include in the design of its pilot all eligible heating electrification

[9] *See*, Cases 24-E-0461 et al., *Joint Proposal,* at 51. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={90FDCA96-0000-CE83-BFAB-C8C8E8D33806}.

measures through the New York State Affordable Multifamily Energy Efficiency Program, including but not limited to PTACs, mini-splits and wall heaters.

9. In any multi-year settlement in these proceedings, I propose that the Company commit to:

   A. Developing analytical tools designed to assist in the identification of electric customers currently coded as non-heating who may actually be responsible for their own heating. For example, creating the ability to identify customers who average electric usage from November 1 – April 15 has increased in a manner consistent with usage for electric heating;

   B. Proactively engaging in direct outreach to these customers to determine whether they are indeed responsible for their own electric heating needs, and to notify them that that they can schedule a field visit to their premises to verify that they have electric heating;

   C. Additionally screening such customers for bill assistance eligibility (such as EAP); or protections against service terminations (such as EBD coding), and facilitating the enrollment of eligible customer in these programs;

   D. Completing, on a timely basis, the steps necessary to investigate and, as applicable, recode accounts for all customers requesting recoding; prioritizing customers who are receiving, or screen as eligible for, bill assistance or protections against service termination (especially those who have received HEAP or Emergency HEAP in the past or have qualified for EAP through another qualifying benefit);

   E. Issuing bill credits in the amount of regular HEAP heating grants in effect as of the date customers requested to have their Con Edison account recoded. This provision shall apply only to customers:

      1. Who are enrolled in, or screened eligible for, bill assistance or protection against service termination, and;

2. Whose requests for recoding have been outstanding for more than 105 days, and;

3. Who have not engaged in conduct causing the delay of recoding such as not allowing Con Edison access to their premises for investigations to confirm they have electric heating, and;

4. Who have been denied a HEAP award or received inadequate HEAP assistance through a renters' benefit on the basis that their account appeared to be a non-heating account due to the delayed outcome of their requests for recoding.

F. Reporting to the Commission annually (with posting on DMM) the number of:

1. Customers contacted to determine whether they have become responsible for their own electric heating needs;

2. Requests for recoding received by the Company;

3. Investigations completed;

4. Customers recoded as electric heating;

5. Open RTE cases at the end of the Rate Year;

6. Customers filing complaints with the Company pertaining to requests for recoding, and;

7. Customers filing complaints with the DPS Office of Consumer Services pertaining to requests for recoding, and;

8. Customers having been issued credits pursuant to "E.", above.

10. I recommend that, prior to the HEFPA required 15-day period for providing notice to tenants, Con Edison increase efforts to locate landlords of multiple dwelling building facing the possibility of service termination. I also recommend that the Company proactively increase targeted outreach to the tenants residing in these buildings, either through their tenants' associations ("TAs") or individually for

situations in which there are no TAs. Finally, I recommend that Con Edison notify elected officials representing the districts associated with multiple dwelling buildings at risk of service termination, including local level elected officials such as city or other municipal councils, counties, and district offices of State assembly members and senators.

11. In any multi-year settlement resulting from these proceedings, I recommend that the cold weather and extreme heat provisions adopted in Cases 22-E-0064 et al. protecting residential customers from service termination be continued; the extreme heat provisions of which would be subject to supersession by any Commission order in Case 24-M-0586.

Discussion

Energy Affordability Considerations for Low-Income Households

Bill Impacts of Company's Proposed Rate Increases

Q. Please describe the Company's proposed increases in residential rates.

A. According to the Company's filing cover letter, a New York City ("NYC") residential electric customer using 280 kilowatt hours (kWh) per month (a "typical" or "average" electric customer) would experience a $14.13 monthly increase, equating to a 13.7% increase in their total bill; while a typical Westchester County ("Westchester") residential customer using 425 kWh monthly would experience a $19.78 (13.5%) total bill increase. The typical Con Edison residential gas customer using 100 Ccf per month (Rate I) would see a $46.42, or 19.1% monthly increase in their total bill. (Filing Cover Letter at Appendix I).

Total monthly bill increases factor in changes in cost of the supply of electricity and natural gas in addition to the delivery costs of providing service, which renders "total bill" increases noticeably lower than delivery bill increases. Since delivery costs are those which the Company control — whereas supply costs are not — delivery bill impacts are a more accurate measure of the increases proposed to be levied by the Company upon their customers.

Q. What are the monthly base rate increases in the delivery charge portion for residential customers at these usage levels?

A. Under the Company's one-year proposal, the monthly base rate electric delivery bill increase for these customers would be 18.7% for NYC customers, and 18.9% for Westchester customers. For gas, the increase would be 25.1%. (Filing Cover Letter at Appendix I).

Q. Does Con Edison propose to increase monthly fixed charges ("customer charges") for residential customers?

A. Yes. The Company proposes to increase residential customer charges for electric service by 15.0%, from $20 to $23; and residential customer charges for gas service by16.6%, from $33.23 to $38.73. (Exhibit___(ERP-2), Schedule 3, Table No. 1; ___(GRP-3), Schedule 2 at 1).

Q. Do you support Con Edison's proposal to increase monthly fixed charges ("customer charges") for residential customers?

A. No. I recommend that, instead, the parties and the Commission explore alternative rate designs that would, at a minimum, freeze these charges and, more generally, reward conservation and energy efficiency through lower delivery bills. Such measures are sensible and promote the public interest in affordability and responsible environmental stewardship. Conservation-oriented rates are particularly compelling considering CLCPA goals and requirements as they would serve to create a rate design that directs benefits to disadvantaged communities, as opposed to disproportionately burdening these communities.[10]

Q. Can you explain why typical NYC customers are projected to incur slightly lower percentage delivery bill increase than typical Westchester customers?

A. Yes. The difference can be explained almost entirely by interplay between NYC/Westchester usage levels and the lower percentage increase in customer charges (15%) versus weighted average volumetric (per kWh) delivery rates (approximately 20%).

[10] *See*, CLCPA § 7(3); NY Environmental Conservation Law § 75-0117.

Both NYC and Westchester pay the same volumetric base delivery rates. (Exhibit___(ERP-2), Schedule 3, Table No. 1). However, a greater share of typical Westchester bills, at 425 kWh, is comprised of volumetric charges than is the case with NYC bills, at 280 kWh—skewing the overall percentage increase in Westchester delivery bills slightly higher.

Q. Do Con Edison customers in Westchester County pay for the recovery of New York City taxes in their delivery rates?

A. The Company's Westchester County customers are not responsible for the recovery of New York City income taxes, because Con Edison is exempt from New York City income taxes, as indicated by its response to I/R PULP-27. (Exhibit ___(WDY-04) at 162). Westchester County customers also do not incur recovery for New York City Revenue Taxes (i.e. sales or gross receipts taxes), as these taxes are recovered separately at rates set for each local jurisdiction in the Company's service area.[11],[12]

Westchester County customers do, however, incur recovery by Con Edison of New York City property taxes. This is because property taxes from all jurisdictions are grouped together under "Taxes Other Than Income Taxes" and are recovered from all ratepayers. The Company's response to I/R PULP-52 confirms that its delivery rates are designed by customer service class and not by jurisdiction. As such, there is no distinction between the costs embedded in the revenue requirement of different jurisdictions (i.e., New York City and Westchester). It is worth noting that the exhibits of the Con Edison Electric Rates Panel show that New York City property taxes for electric property are more than ten times those of the rest of the service area (primarily Westchester); while those of the Gas Rates Panel reflect that New York City property taxes are more than five times higher than the rest of the service area. The degree to which Westchester County customers may be burdened by paying more for property taxes overall than they would if Con Edison's practice was to recover such taxes on a jurisdictional basis, as is the case with revenue taxes, is unclear. The determinative factor needed to evaluate whether or not such a burden exists is likely

[11] *See*, *Con Edison Electric Tariff - Revenue Tax Surcharge Statement*, Effective 04/01/2025. Available at: https://ets.dps.ny.gov/ets_web/search/showPDF.cfm?G%3E%29S2%3DJ9JSBW%27%5D%2AC%27%22LSK4%3FXVAHQQ%3AW%2FLJ%5B%5E%3AICSBNKB%5FC%2A69NBFZ%0A.

[12] *See*, *Con Edison Gas Tariff - Revenue Tax Surcharge Statement*, Effective 04/01/2025. Available at: https://ets.dps.ny.gov/ets_web/search/showPDF.cfm?G%3E%29S2%3DJ9JSBW%27%5D%2AC%27%22LCK4%3FXVAHQQ%3AW%2FLJ%5B%5E%3AICSBNKB%5FC%2A69NBFZ%0A.

to be the relationship of total volumetric usage of New York City customers versus Westchester customers. This issue merits further study. (Exhibits ___(AP-E3), Schedule 8; ___(AP-G3) Schedule 8; ___(WDY-14) at 33).

Q. Has Con Edison considered how its proposed delivery rate increases would impact customers in its energy affordability program ("EAP")?

A. Yes. The Company provided estimates of RY1 electric total bill impacts for Tier 1 EAP customers (about 94% of all electric EAP participants) that would result from its proposed rate increases. These impacts reflect a Tier 1 discount of $36.77 for current bills, and an estimated discount of $53.19 based on the Company's requested revenue increase in this proceeding. (Exhibits ___(WDY-04) at 147; __(ERP-2), Schedule 5, Tables 3 – 4).

Con Edison also furnished estimated RY1 total bill impacts for Tiers 1 through 4 gas heating and non-heating participants. The Company estimates that discounts for each heating tier will also rise in response to its proposed gas rate increases should they be approved. (Exhibit___(GRP-3), Schedule 3 at 6 - 9; Exhibit___(GRP-3), Schedule 3 at 2).

EAP discounts will be finalized at the conclusion of these proceedings.

Q. What are the resulting electric and gas bill impacts for EAP participants?

A. Tier 1 electric non-heating participants with monthly usage up to 300 kWh would experience lower delivery bills. Average non-heating participants with 375 kWh monthly usage would see their delivery bills increase by about $2.00. Exhibits ___(WDY-04) at 143; __(ERP-2) Schedule 5 Table 3)).

Gas heating customers with monthly bills up to 40 therms would experience lower delivery bills in all tiers. Additionally, although the average EAP gas heating customer with monthly usage of 76 therms would experience delivery bill increases, their monthly total bills would be mostly offset, and thus range from $10 – 12. In contrast, all EAP gas non-heating customers (Tiers 1 – 4) would experience positive delivery bill impacts, with average usage participants (6 therms) seeing their total bills rise 17%, to $47.78. (Exhibits ___(WDY-04) at 143; Exhibit___(GRP-3), Schedule 3 at 6 – 9; Exhibit___(GRP-3), Schedule 3 at 2)

Q. Has Con Edison furnished data on delivery rate increases for any years beyond the "Rate Year" January 1 – December 31, 2026?

A. Yes. In its filing letter, the Company expressed its intention to explore multiyear rate plans in settlement discussions with the Department of Public Service and other interested parties. (Filing Cover Letter at 4) The testimonies of the Electric Rates Panel and Gas Rates Panel include data on combined additional delivery rate increases in Rate Years Two ("RY2") and Three ("RY3") for typical NYC customers that would result in delivery bill impacts of $17.30, for a three-year total delivery bill impact of $31.43 (41.6%) over current bills. Cumulative delivery bill impacts for typical Westchester customers over the same three years would amount to $43.95, or 42.0% compared to current bills. Residential gas customers in both NYC and Westchester would experience cumulative monthly bill impacts of $82.10 over three years, 44.5% over their current delivery bills. (Exhibit___(ERP-2), Schedule 9 at 1; Exhibit___(GRP-3), Schedule 4 at 1).

Residential Arrears

Q. Since 2019, what has happened to EAP arrears at Con Edison?

A. The average number of EAP accounts in arrears increased 8.7% from 2019 through March 2025, Arrears associated with those accounts rose 132.8% (from $108.8 million to $253.3 million), and the average past-due balance per EAP participant during the twelve months ending March 2025 was 114.1% higher than pre-pandemic levels ($1,796 vs. $839). (Exhibit ___(WDY-01) at 29).

Q. What has happened to Non-EAP arrears at Con Edison since 2019?

A. The number of Non-EAP accounts in arrears increased 89.3% from 2019 through March 2025, while the arrears associated with those accounts rose collectively by 213.6% (from $205.1 million to $643.3 million), and per customer by 65.7% ($2,060 vs. $1,243). The percentage of Non-EAP customers in arrears rose from 6.4% during 2019 to 11.7% during the twelve months ended March 2025. By way of contrast, the percentage EAP participants in arrears remained relatively stable, in the range of 30% - 31%. (Exhibit ___(WDY-01) at 29).

Q. Do you agree with the Customer Operations Panel's assessment of the progression of the number of customers in arrears since the pandemic?

A. Yes. However, as can be inferred by my findings contrasting the percentage increases in the number of EAP versus Non-EAP customers since 2019, almost all of the overall increase in the number of residential arrears since 2019 has been among Non-EAP customers. That is, while the number of EAP participants did rise incrementally, by 8.7%, the number of Non-EAP customers in arrears almost doubled. (Exhibit ___(WDY-01 at 29). This suggests to me that, on a relative basis, EAP has helped participants navigate the economic challenges of the pandemic and the disruption that has followed better than customers for whom such assistance has not been provided.

Q. What does this say about the affordability circumstances of customers not enrolled in EAP?

A. It suggests that, to the extent that these customers represent HEAP-eligible households in the Con Edison service area, many such customers may already be struggling to pay their electric and gas bills and that the Company's proposed delivery rate increases would further aggravate this situation. It also suggests that, to the extent that they are EAP-eligible, they would benefit from enrollment in the program.

Resumption of Residential Collections Activity

Q. Has Con Edison communicated its intentions to increase residential collections activities?

A. Yes. The Company, having resumed credit and collections activity in 2023, now proposes "significantly scaling collections activities in the field, making call centers more proactive through outbound calls, enhancing digital touchpoints to address the higher number of customers in arrears, and bolstering the Company's field, back-office, and front-office workforce to handle the increased volume and complexity of customer needs. (Customer Operations Panel Testimony at 8)

Q. Does this scaling of collections activity contemplate the possibility of increased service terminations?

A. Yes. According to the Customer Operations Panel, historically, despite efforts by Con Edison to proactively engage customers in ways that allow them to resolve their arrears without having to face service termination, many such customers do not cure through this approach. In these situations, the Company has found field collections activity, including service termination, to be an effective incentive for customers who have not resolved their arrears to do so. The Panel further states that Con Edison is augmenting its field "full-time equivalents" ("FTEs") to meet the size and breadth of its current and anticipated future levels of customer arrears, stating that, while the Company has nearly twice as many customers in arrears; it has fewer than half as many field agents devoted to collections as it did prior to the pandemic. (Customer Operations Panel Testimony at 16 – 18)

Q. Are you concerned that residential service terminations overall could increase substantially in the near future?

A. Yes. The number of Con Edison residential customers experiencing service termination since the resumption of collections activity had been limited, until March when the Company terminated service to almost 15,000 residential customers—the highest monthly number in over twenty years—only to followed by almost 29,000 residential terminations in April, for a two-month total of almost 44,000 shut-offs. (Exhibit ___(WDY-01) at 27). Monthly terminations could rise further for those customers not resolving their arrears by entering into HEFPA DPAs and/or receiving sufficient bill payment assistance through DSS, entry into EAP, or by other means.

However, and importantly, it is encouraging to note that the Company increased the number of outstanding DPAs from March 2024 to April 2025 by 44%, or 62,000, to 204,500; and that more than half of the residential customers experiencing service termination in March and April were able to get re-connected by entering into DPAs. It is also highly significant that, net, 15,500 more customers had their service re-connected in March and April than had their service terminated (59,500 re-connections versus 44,000

shut-offs).[13,14,15] That said, the termination and reconnection dynamics of this new phase of collections activity are at an early stage, and I remain very concerned that many vulnerable customers who cannot afford their utility bills may ultimately be included amongst those whose service is terminated; and/or who are unable to satisfy the terms of the DPAs they have entered into to resolve their arrears.

Q. Are there circumstances that are exacerbating the risks of further utility unaffordability and, ultimately, service termination for residential Con Edison customers having difficulty paying their bills?

A. Yes. At the federal level, consideration is being given to reducing expenditures for many assistance programs, most notably HEAP, SNAP and Medicaid. Many low-income utility customers depend on the HEAP and Emergency HEAP for financial assistance when they fall behind. This comes just as demand for HEAP among New Yorkers has put the State's already limited resources under strain. Between the 2023-2024 and 2024-2025 program years, HEAP benefits authorized *as of December* rose 3%, or more than 37,000 cases; while grants authorized jumped a more significant 5%, or $12.3 million. Meanwhile, federal funding to New York for HEAP *remained static, at $360 million*.[16],[17] On January 21, 2025, there was an abrupt, early closure of HEAP, for which no immediate explanation was proffered by OTDA, but which the *Albany Times Union* described as "after funding for the program, which is provided by the federal government, ran dry — two months earlier than

[13] *See*, Case 91-M-0744, *Con Edison Collections Activity Report - March 2024*. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={C0D2E28E-0000-CB33-BB6A-0F7C17DE2A7C}.
[14] *See*, Case 91-M-0744, *Con Edison Collections Activity Report - March 2025*. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={B0B53A96-0000-C66D-852F-2AD27E7EA695}.
[15] *See*, Case 91-M-0744, *Con Edison Collections Activity Report - April 2025*. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={0045D596-0000-C380-955E-DFC9537825C7}.
[16] *See*, *$3,691,360,000 provided under the Continuing Appropriations Act of 2024 and IIJA*, LIHEAP Clearinghouse, October 24, 2023. Available at: https://www.acf.hhs.gov/sites/default/files/documents/ocs/CORR_LIHEAP_1stFundingReleaseAtt1_StatesTerrs_FY2024_2.pdf.
[17] *See*, *$3,713,968,197 provided under the Continuing Appropriations Act of 2025, and IIJA*, LIHEAP Clearinghouse, October 31, 2024. Available at: https://www.acf.hhs.gov/sites/default/files/documents/ocs/CORR_LIHEAP_1stFundingReleaseAtt1_StatesTerrs_FY2025_2.pdf.

last year".[18] After immediate alarm was raised by government officials, and non-profit and community-based organizations, about the effect this closure would have upon low-income households already struggling to pay their utility bills, HEAP was then re-opened on January 25, made possible by the re-allocation of $35 million to the program.[19],[20]

On or about April 1, 2025, reports began to surface that the entire staff of the federal LIHEAP program had been laid off, with no advanced notice provided to affected personnel. The action appears to have been taken in conjunction with a dramatic restructuring of the Department of Health and Human Services.[21],[22] Ominously, these broader cuts also call into question whether staffing and benefits related to SNAP and Medicaid—which are also crucial benefits assistance programs upon which low-income households in the Con Edison service area depend — will still be available to mitigate the impact of any reduction (or outright elimination) of HEAP during any rate plan resulting from these proceedings.

On May 2, 2025, the Federal Office of Management and Budget wrote to the Chair of the Senate Committee on Appropriations with recommendations on discretionary funding levels for fiscal year (FY) 2026. These proposals included eliminating federal LIHEAP funding on the grounds that:

> This administration is committed to lowering energy costs for American families by unleashing energy production. The Low-Income Home Energy Assistance Program (LIHEAP) is unnecessary because States have policies preventing utility disconnection for low-income households, effectively making LIHEAP a pass-through benefitting utilities in the Northeast. Further, LIHEAP rewards States like

[18] *See*, *NY Spends $35 Million To Reopen HEAP Applications After Federal Funding Runs Out*, Albany Times Union, January 24, 2025. Available at: https://www.timesunion.com/capitol/article/new-york-fund-energy-assistance-program-federal-20054359.php.
[19] *Id.*
[20] *See*, *General Information System (GIS) Message*, OTDA, January 24, 2025. Available at: https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://otda.ny.gov/policy/gis/2025/25DC007.pdf&ved=2ahUKEwjUmPOJ6sWMAxW9g4kEHfg5ElcQFnoECBcQAQ&usg=AOvVaw2K1qve08GC4E0LlGpAOlev.
[21] *See*, *Trump Administration Fires Staff Of Program That Helps Low-Income Households Pay For Heat*, Associated Press, April 3, 2025. Available at: https://apnews.com/article/heating-assistance-hhs-layoffs-kennedy-trump-91e466c458ac804b098be00867a92106#.
[22] *See*, *HHS Announces Transformation to Make America Healthy Again*, U.S. Department of Health and Human Services, March 27, 2025. Available at: https://www.hhs.gov/press-room/hhs-restructuring-doge.html.

New York and California, two of the top recipients for LIHEAP funding, which have implemented anti-consumer policies that drive up home energy prices. The Government Accountability Office (GAO) has raised significant program integrity concerns related to fraud and abuse in LIHEAP. In 2010, GAO investigators audited seven States and found names of 11,000 dead people and hundreds of prisoners used as applicants for funds. More than 1,000 Federal employees whose Federal salary exceeded maximum income threshold received benefits and, in several cases, people living in million-dollar houses received benefits. The Budget proposes to end this program and to instead support low-income individuals through energy dominance, lower prices, and an America First economic platform.[23]

Q. What is your recommendation should federal funding be curtailed or eliminated for HEAP, SNAP, Medicaid or any other EAP eligibility-conferring programs in such a way as to materially reduce the number of Con Edison customers who would be eligible for EAP based on the current energy affordability framework?

A. I propose that in any multi-year settlement resulting from these proceedings, the Company agree to submit a petition to the Commission to suspend dis-enrollments of EAP participants until such time as the State has been able to offset the negative impacts upon enrollment that would be caused by reductions or elimination of federal funding. Such mitigating offsets could be expected to include a combination of additional State funding for EAP and/or changes to the overall energy affordability framework.

Should it be possible for Con Edison to suspend dis-enrollments of EAP participants without the need for a Commission Order, I recommend that the Company take this step accordingly.

[23] *See*, *Fiscal Year 2026 Discretionary Budget Request*, Office of Management and Budget, at 9. Available at: https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://www.whitehouse.gov/wp-content/uploads/2025/05/Fiscal-Year-2026-Discretionary-Budget-Request.pdf&ved=2ahUKEwjEsJfC-piNAxX-GVkFHeOlPDMQ-NANegQIKxAC&usg=AOvVaw0o2t-I5TEt51ehQHn1Nhus.

Q. Has PULP expressed concern publicly about the end of the heating season in New York State and how that could lead to large numbers of utility service terminations statewide?

A. Yes. On April 15 2025, PULP and AARP filed a joint letter to PSC Commission Chair Rory Christian in Case 14-M-0565[24], as well as individual letters to the leadership of each of the States major electric and gas utilities[25], urging that numerous actions be taken to help customers manage their arrears and ultimately help them prevent service termination for nonpayment. (Exhibit ___(WDY-05) at 18). The actions urged included:

- Offering more flexible and affordable payment agreements to all utility customers;
- Waiving the use of financial statements for setting affordable payment agreements when the customer is able to make a down payment of 5% or greater of the total arrears;
- Offering anyone who is in the Energy Affordability Program ("EAP") a new minimum Deferred Payment Arrangement ("DPA"), no matter their prior history with payment agreements;
- Suspending late fees for any customer who makes a partial or full payment, and waiving the prior month's late fees as a result of that payment;
- Increasing direct outreach efforts, beginning with customers enrolled in the EAP, with a focus on phone calls to establish direct communication with households;
- Increasing direct outreach to any customer behind by 60 days or more;
- Increasing direct outreach efforts to households where a direct communication has never been established, regardless of whether a customer's account is at risk of shut off, as a best practice to directly communicate with all customers as a proactive

[24] *See*, *Letter to Hon. Rory M. Christian, Chair, New York State Public Service Commission Re: Utility Related Requests to Help Utility Customers with Their Arrears*, PULP & AARP, Case 14-M-0565. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={A0E33996-0000-C467-8AF9-3C6E0A7A15F0}.

[25] Letters were sent to: Con Edison, NYSEG/RG&E, Central Hudson, National Grid, Orange and Rockland, NFG, LIPA/PSEG, as well as the Department of Public Service.

measure due to the uncertainty of the HEAP and Emergency HEAP programs for the next heating season;

- Screening all callers for financial assistance;
- Screening all callers for account coding related to medical emergencies, life-sustaining equipment, or indicators that the customer is elderly, blind, or disabled;
- Increasing the grant amount and expand eligibility for each utility company's own funded financial assistance programs, and;
- Creating a DPS webpage that provides information and application related resources for the utility companies' independent grant programs.

Q. Do you support the above actions urged by PULP/AARP to help customers prevent service termination for nonpayment in the Con Edison service area?

A. Yes.

Q. Does the public have an interest in the continuity of utility service for all residential customers?

A. Yes. The public's interest in the continuity of utility service for all residential customers is elucidated in the 1982 Home Energy Fair Practices Act, or "HEFPA", which states:

> It is hereby declared to be the policy of this state that the continued provision of all or any part of such gas, electric and steam service to all residential customers without unreasonable qualifications or lengthy delays is necessary for the preservation of the health and general welfare and is in the public interest.[26]

The public's interest in keeping customers connected to the utility system is also articulated in the DPS Staff Consumer Policy Panel in Cases 16-E-0060 et al.:

> HEFPA and Commission regulations implementing HEFPA include many provisions designed to keep customers connected to the utility system without jeopardizing the utility's financial health, such as increasing uncollectibles. HEFPA

[26] PSL Article 2 §30.

also prescribes the minimum steps that utilities must take before they can terminate the service of residential customers for nonpayment. ***Excessive use of service terminations as a credit and collections tool may jeopardize the health, safety, and welfare of customers.***[27]

(***Emphasis added***)

Q. Can you provide an example of how helping customers manage their arrears could benefit both the individual ratepayers receiving assistance; and ratepayers in general?

A. Yes. Take, for example, the idea of making it easier for customers to obtain affordable DPAs: to the extent that customers are able to keep current on these arrangements, they are shielded from incurring further late payment charges. True, the Company still recovers *carrying charges* on the DPA balances themselves, which *are* collected from all ratepayers. But the spiraling of late payment charges ends for those customers who can keep their DPAs current. This serves the interests of all ratepayers by avoiding the *double burden* of having to fund mounting, often uncollectible accrued late payment charges, *on top of the carrying charges* they already incur on the underlying arrears balances. An understanding of this dynamic came to be understood by the stakeholders in Cases 14-M-0565 and 20-M-0266 in developing Phase 2 arrears relief, wherein the "cost of inaction" (i.e. doing nothing to help customers manage their arrears) was identified that included the potential costs of incremental uncollectible expense, incremental financing associated with the higher arrears, and incremental operation and maintenance (O&M) costs.[28]

Low-Income Energy Burdens

Q. Please describe the first part of your analysis of the energy burdens of low-income households in the Con Edison service area.

A. In the first part of my analysis, I estimated the number of households residing in U.S. Census Bureau-designated geographic units called "Public Use Microdata Areas"

[27] *See*, Cases 16-E-0060 et al., *Prepared Testimony of Staff Consumer Policy Panel*, at 70 – 71. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={09890564-C8FE-4A41-A464-C106228ADCDC}.

[28] *See*, Cases 14-M-0565 and 20-M-0266, *Phase 2 Arrears Report*, at 10. Available at:

("PUMAs") in which Con Edison provides service. The service area includes all PUMAs in New York City, except the Far Rockaways (PUMA 4414); and a small area in Northeast Westchester where NYSEG provides service to about 25,000 households. (PUMA 3103, Exhibit ___(WDY-01) at 28). Hereinafter I shall refer to these households as "households in the Con Edison service area."

Next, I estimated how many households in the Con Edison service area could be considered presumptively eligible for non-emergency Home Energy Assistance Program ("HEAP") benefits by virtue of the income they reported in the U.S. Census Bureau's 2023 American Community Survey ("ACS"), their household size, and their reported payment for utility electric or gas service ("HEAP-Eligible" households). I estimated that in 2023 (the most current ACS) there were 906,868 such households in the Con Edison service area. (Exhibit ___(WDY-12) at 2-3).

Lastly, using the Company's response to I/Rs PULP-12 and PULP-13, I estimated how many HEAP-eligible households in the service area were actual customers of Con Edison, and therefore potentially eligible for the Energy Affordability Program ("EAP"). I did so by summarizing the number of Con Edison residential customers by PUMA, and then applying my estimate of the percentage of HEAP-eligible households for each PUMA to arrive an estimate that in 2023, there were 865,262 Con Edison customers potentially eligible for EAP. In my testimony that follows, I will refer to these households as "households potentially eligible for EAP." (Exhibit ___(WDY-11) at 62-63).

Q. What is the American Community Survey ("ACS")?

A. The ACS is a nationwide, continuous survey designed to provide communities with reliable and timely social, economic, housing, and demographic data every year. It is conducted by the U.S. Census Bureau throughout the year. ACS questions are designed to provide measures of socioeconomic conditions using a weighting method that ensures its estimates are consistent with official Census Bureau population estimates by age, sex, race, and Hispanic origin, as well as estimates of total housing units.

The ACS includes questions about household use and cost of electricity, natural gas and deliverable fuels. When combined with household income data, these costs provide

instructive measures of energy affordability. For example, the federal government uses energy affordability data in the Low-Income Home Energy Assistance Program ("LIHEAP") to calculate its block grant allocations for each state.[29,30] Other federal uses include, but are not limited to:

- The calculation of overall housing cost burdens for purposes of allocating funds for the Community Development Block Grants, HOME Investment Partnership Program, and Emergency Solutions Grant and Housing Opportunities for Persons with AIDS programs;
- Identification of rental distribution of housing units used to determine Fair Market Rents (FMRs);
- Assessment of poverty, and determination of eligibility for housing assistance programs, including the need for housing assistance for low-income, including elderly low-income, households; and
- Estimation of utility costs included in rents for the Consumer Price Index (CPI).

Q. Why didn't you include any of the other public assistance programs set forth by the Commission in recent updates to statewide EAP eligibility criteria in your analysis of potentially EAP-eligible customers?

A. In its August 12, 2021, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings* in Case 14-M-0565 ("EAP Update Order"),[31] the Commission determined, that in addition to receipt of HEAP, participation in any public assistance program associated with eligibility for federal Lifeline benefits would also confer EAP eligibility. The HEAP eligibility guidelines have the highest monthly income allowances

[29] *See*, *Why We Ask: Cost of Utilities and Condominium Fees*, U.S. Census Bureau. Available at: https://www2.census.gov/programs-surveys/acs/about/qbyqfact/CostofUtilities_CondoFees.pdf.
[30] *See*, *Why We Ask Questions About Income*, U.S. Census Bureau. Available at: https://www.census.gov/acs/www/about/why-we-ask-each-question/income/.
[31] *See*, Case 14-M-0565, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings*, at 20. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1CFD4CE2-AB87-4A8C-B56B-F123366B1520}. The EAP Update Order expanded eligibility beyond HEAP to include, through household self-certification, proof of enrollment in public assistance programs associated with the federal Lifeline program. These include Supplemental Security Income ("SSI") and Supplemental Nutrition Assistance Program ("SNAP").

of all these programs. For instance, for the 2022-23 season, two-member households with monthly income of up to $3,730 were eligible for HEAP, while the same households could only have $1,984 of income and still have qualified for SNAP (formerly known as "Food Stamps") benefits.[32] As the Commission stated in justifying the expansion of eligibility-conferring criteria:[33]

> Including public assistance programs associated with the federal Lifeline program is reasonable because the income eligibility criteria is lower than HEAP.

Q. Would all of the HEAP-eligible households you estimated in your analysis be automatically eligible for EAP?

A. No. In order to achieve EAP eligibility, such households would have to be Con Edison customers receiving one of the forms of public assistance outlined in the EAP Update Order.[34] In this regard, I note that Con Edison, along with the other major investor-owned electric and gas utilities (the "JU"), have adopted the practice of enrolling customers in their EAPs through self-certification as long as one of members of the household is a "Benefit Qualifying Person"; that is, a member different from the customer who receives an EAP eligibility-conferring benefit.[35] I therefore conclude that while my estimate that 865,262 Con Edison customers were *potentially* eligible for EAP in 2023, there are factors that must be considered that could result in less customers *actually* being eligible.

Q. Did you consider the possibility that some of the HEAP-Eligible households reporting that they paid their owned electric bill in 2023 may have been submetered tenants and therefore not eligible for Con Edison's EAP because they were not customers of the Company?

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[32] *See*, *Programs and Services*, New York State Office of Temporary and Disability Assistance. Available at: https://otda.ny.gov/programs/.
[33] *Supra* note 31, at 20.
[34] *See*, *Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings*, Case 14-M-0565, at 20. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={1CFD4CE2-AB87-4A8C-B56B-F123366B1520}.
[35] *See*, *Energy Affordability Program Application*, Consolidated Edison. Available at: https://cdnc-dcxprod2-sitecore.azureedge.net/-/media/files/coned/documents/accountandbilling/payment-plans-assistance/energy-affordability-applications/eap-english.pdf?rev=f69d9c23e2334b1f9e60e87e49cd06ff&hash=0425FA81FFB93BD76C52A9DA5F74579F.

A. Yes. Exhibit ___(WDY-05) contains the response to a PULP FOIL request to the Department of Public Service for an accounting of all submetered electric buildings in New York State, including those in the Con Edison Service area. The FOIL request asks for the total number of submetered dwellings, including the number of such dwellings that have indications that they may be occupied by low-income households. There were about 680 electric submetered properties in the Company's service area as of July 18, 2024, with a total of about 142,000 submetered units. Among the submetered properties, 286 bore indications suggesting some of their units could be occupied by low-income households. Based on these indicators, I estimate that 38,903 were households that might have been eligible for EAP, had they been direct customers of Con Edison. This approximates the difference between the number of HEAP-eligible households I estimate reside in the Company's service area, and the customers of Con Edison I estimate are potentially eligible for EAP. (Exhibit ___(WDY-01) at 4 - 18).

Q. Are there any other sources that support your estimate that there were approximately 865,262 Con Edison customers potentially eligible for EAP in 2023?

A. Yes. I compared my estimate of the number of Con Edison customers potentially eligible for EAP with the number of households in New York City and Westchester County with incomes below 200% of the Federal Poverty Level ("FPL") as calculated in the latest Home Energy Affordability Gap Dashboard analysis published by Fisher, Sheehan and Colton ("FSC").[36] (Exhibit ___(WDY-01) at 20). In its May 20 2016, *Order Adopting Low Income Program Modifications and Directing Utility Filings* in Case 14-M-0565 The Commission relied upon FSC data on home energy affordability in concluding that:

> About 2.3 million households are at or below 200% of FPL, with an energy affordability "gap," i.e., an average annual energy burden above the 6% level, of $807.[37]

[36] *See*, *Fisher, Sheehan & Colton Home Energy Affordability Gap (New York Data, 2022)*. http://www.homeenergyaffordabilitygap.com Available at: http://www.homeenergyaffordabilitygap.com/downloads/2022_Released_Apr23/ZIP_Archives/2022_New%20York.zip.

[37] *Supra* note 31, at 8.

Q. How many households did FSC determine had incomes below 200% of FPL?

A. FSC calculated that there were 1,091,920 households in New York City and Westchester with incomes below 200% of FPL in 2022. This when compared with my estimate of 906,868 HEAP-eligible households in 2023; leads to my estimate that there are approximately 865,262 actual Con Edison customers potentially eligible for EAP. (Exhibit ___(WDY-11) at 62-63).

Q. Can you explain why your estimate of HEAP-eligible households in the Con Edison service area was approximately 185,000 less than FSC's estimate of New York City and Westchester households with incomes below 200% of FPL?

A. I believe it mostly relates to the fact that my estimate of HEAP-eligible households in the Con Edison service area excludes New York City Housing Authority ("NYCHA" or the "Authority") tenants with incomes below 200% of FPL, most of whom do not pay for their electric or gas utilities. Based on current data furnished by NYCHA, there are 177,569 such apartments leased by the Authority.[38] Additionally, as discussed earlier, my estimates exclude households in the Far Rockaways, which is served by PSEG Long Island, and a small area in Northeast Westchester where NYSEG provides service.

Q. Were you able to estimate the number of HEAP-eligible households in the Con Edison service area by income range?

A. Yes. I estimate that, of the 906,868 HEAP-eligible households that I estimate resided in the Con Edison service area in 2023, and who reported paying for their own utility electric or gas service, 41% (367,973) had incomes at or below the federal poverty level for a family of their household size ("FPL"). Another 13% (121,862 households) had incomes between 100% and 130% of the FPL. The remaining 44% (417,033 households) had incomes above 130% of the FPL and up to 60% of the State median income ("SMI"). (Of this last income range, 299,694 households indicated that they had one or more vulnerable members such as a child under six years of age, an adult aged sixty or older, or a person(s) with disabilities.

[38] *See*, *About NYCHA*, New York City Housing Authority. Available at: https://www.nyc.gov/site/nycha/about/about-nycha.page.

The remaining 117,339 households in this cohort did not indicate that any members had such vulnerabilities.). (Exhibit ___(WDY-13) at 2 – 9).

Q. Can you explain why such a high percentage of HEAP-eligible households residing in the Company's service area reported income below the FPL?

A. Yes. A large majority of these households are residents of New York City, where rates of poverty have remained stubbornly high, especially when compared to rates in Westchester County. [39,40,41] In fact, according to a 2022 report by the Office of the New York State Comptroller, poverty in the Bronx, was the highest of any county in the State at 24.4%.[42]

Q. Please describe the energy burden data you analyzed that provides evidence that a significant number of low-income customers in the Con Edison service area would not be able to afford the Company's proposed rate increases.

A. I estimate that HEAP-eligible households in the Con Edison service area had total energy burdens — comprised of electric and gas utility costs, plus the cost of deliverable fuels — averaging 10.5% of their income in 2023, 75% higher than the Commission's maximum 6% of household income target.[43] About 58% of HEAP-eligible households in the service area reported total energy burdens greater than the 6% target. I further estimate that approximately 39% of such households reported total energy burdens exceeding ten percent (10%) of their incomes, indicating that they were "severely burdened" by their energy costs.[44] (Exhibit ___(WDY-12) at 13, 17, 21).

Q. What was the equivalent electric-only energy burden reported among HEAP-eligible households in the Con Edison service area?

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[39] *See*, *Latest Census Data Shows Poverty Remains Stubbornly High in New York City*, Community Service Society. Available at: https://www.cssny.org/news/entry/latest-census-data-shows-poverty-remains-stubbornly-high-in-new-york-city-analysis.
[40] *See*, *Poverty in New York City*, Columbia University Center on Poverty and Social Policy. Available at: https://povertycenter.columbia.edu/poverty-in-new-york-city.
[41] *See*, *Emergency Food in NYC*, New York City Council. Available at: https://council.nyc.gov/data/emergency-food-in-nyc/.
[42] *New Yorkers in Need - A Look at Poverty Trends in New York State for the Last Decade*, Office of the New York State Comptroller. Available at: https://www.osc.ny.gov/reports/new-yorkers-need-look-poverty-trends-new-york-state-last-decade.
[43] *Supra* note 31, at 3.
[44] *Supra* note 7, at ii.

A. HEAP-eligible households reported electric-only energy burdens averaging 7.1% of their income in 2023, more than two times the Commission's maximum 3% of household income target. About 74% of HEAP-eligible households in the Con Edison service area reported electric-only energy burdens greater than the 3% target. I further estimate that approximately 53% of such households had electric-only energy burdens exceeding five percent (5%) of their incomes. (Exhibit ___(WDY-12) at 23, 27, 31).

Q. What were the implied energy burdens of Con Edison low-income customers for the 2022 – 2023 HEAP season, based on average undiscounted bills calculated by the Company to establish EAP discounts for the program year December 1, 2022 through November 30, 2023?

A. Based on undiscounted bills, Tier 1 – 4 implied energy burdens for electric non-heating ranged from 3.6% to 10.9%; for electric heating from 6.0% to 18.0%; for gas non-heating from 1.3% to 3.9%; and for gas heating from 5.9% to 17.9% (Exhibit ___(WDY-01) at 21).

Energy Affordability Program Enrollment

PROGRESS SINCE 2019

Q. Has overall enrollment in the Company's energy affordability programs increased since 2019?

A. Overall, EAP enrollment at Con Edison has shown limited progress since 2019. From calendar year 2019 through March 2025, enrollment rose from a trailing four-quarter average of 430,553 to an average of 454,262 participants during the twelve months ended March, representing a 6% increase.[45] (Exhibit ___(WDY-01) at 2-3).

Q. How do March 2025 enrollment levels compare to the number of households potentially eligible for EAP in 2023?

A. Compared to my estimate that 865,262 Con Edison residential customers were potentially eligible for EAP in 2023, an average of 53% were enrolled in the plan during the twelve months ended March 2025. (Exhibit ___(WDY-01) at 2-3; Exhibit ___(WDY-11) at 63).

[45] EAP reporting requirements changed from quarterly to monthly between 2019 and 2024.

Q. Has the ability for customers to self-certify eligibility in EAP impacted enrollment significantly?

A. Yes. Based on the Company's response to I/R DPS-61, I conclude that EAP self-certification during any twelve-month period between September 2023 and December 2024 ranged between 29,000 – 35,000 participants. Given that the EAP Update Order did not become effective until August 2021, it is entirely possible that—absent Con Edison's efforts during the current rate plan to expand access to self-certification—EAP enrollment between 2019 and 2024 would have declined. (Exhibit ___(WDY-06) at 2-4).

Q. Given the importance that self-certification seems to be assuming as far as maintaining EAP enrollment levels, do you have any proposals to track self-certifications during the rate plan?

A. Yes. I recommend that a customer service quality metric ("CSQM") be adopted that, on a monthly basis, tracks EAP self-certifications and Manual enrollments by the Company. The Company would file quarterly reports in this proceeding and Case 14-M-0565 tracking the monthly activity for each category. To help promote a better, more "real-time" understanding of what is working, or not working pertaining to EAP enrollment efforts, such reports would also include narrative explanations of Con Edison's activities during the period and its assessment of the reasons for material changes in self-certifications and manual enrollments. The proposed metric would not have any associated positive or negative revenue adjustments, since its main purpose would simply be to provide more timely insights on the effectiveness of the self-certification process.

Q. Has proposed monthly reporting of EAP self-certification been adopted in settled outcomes in any other rate cases?

A. Yes. The signatory parties in Cases 24-E-0491 et al. have proposed that Central Hudson begin tracking and recording monthly EAP self-enrollments and include the information in its reporting in Case 14-M-0565.[46]

[46] *Supra* note 9 at 34.

IMPLICATIONS OF STATE AND FEDERAL POLICIES

Q. Are there any new policy initiatives involving automated matching of utility customers with records maintained by the Office of Temporary and Disability Assistance ("OTDA") at the State level, and the New York City Department of Human Resources Administration ("HRA") at the local level?

A. Yes. In December 2023, legislation was enacted in New York requiring the State's Office of Temporary and Disability Assistance ("OTDA") to establish a statewide program for automated identification of eligible EAP participants. ("Data Match Legislation")[47]

Q. Have potential limitations on the data that may be shared by OTDA and HRA come to light in conjunction with this legislation?

A. Yes. The Data Match Legislation specifies that automatic file matching can only be conducted "to the extent permitted by federal law".[48] In practice, this means that large numbers of Con Edison customers who are eligible for EAP by virtue of receipt of certain Commission-ordered eligibility-conferring public assistance benefits may be deemed to have to be excluded from file matching identification to the utilities, depending on the interpretation by State officials of state or federal privacy laws. For example, in its August 15, 2023 *Status Report* in Case 14-M-0565, the EAP Working Group described a meeting it held with HRA to identify barriers, regulations, and laws that stopped legacy Medicaid participants from being included in the utility Energy Affordability Program matching process. Citing federal Medicaid and HIPAA[49] statutes, as well as New York State Social Services Law, the Matching Subgroup found that New York State Department of Health ("DOH") interprets the restriction to the use and disclosure of Medicaid data to "purposes directly connected to administration of medical assistance". DOH does not consider

[47] *See*, *Utility Data Matching A08488, (Chapter Amendments to S.4548/A.4876)*, New York State Assembly. Available at: https://nyassembly.gov/leg/?default_fld=&leg_video=&bn=A08488&term=&Summary=Y&Memo=Y&Text=Y.
[48] *Id.*, at 2.
[49] Health Insurance Portability and Accountability Act of 1996.

automatic enrollment in the EAP as such a purpose; therefore, it does not include Medicaid recipients in the HRA filing matching process.[50]

Q. Has the Company confirmed that barriers such as these apply to Con Edison specifically?

A. Yes. The Company's response to I/R DPS-401(6) has identified that customers participating in certain qualifying programs are not included in the automatic quarterly match process with HRA and DSS and thus must be manually enrolled in the EAP after applying to the program via the self-certification process. Con Edison gives the example of Medicaid, which is not included in the quarterly match because the agencies lack sufficient authority to share data required to conduct the match, stating that to include customers in the automated quarterly match for these programs, the agencies would have to secure authority to share customer data (e.g., obtain customer consent and/or confirm state and federal regulatory protections). The Company goes on to say that, for other qualifying public assistance programs, it is their understanding that the respective agencies do not have the data needed to conduct matching because they are not responsible for administering the program(s) and that to automate these enrollments, it would need to determine which programs fall into this category and request that program administrators provide customer data to the agencies for the automated match. (Exhibit ___(WDY-06) at 8).

Q. Are there any other factors that could limit the effectiveness of automated matching of Con Edison customer by HRA?

A. Yes. As previously indicated the federal government is considering reducing expenditures for many assistance programs, most notably HEAP, SNAP and Medicaid. Receipt of benefits through any of these three programs alone is the method by which a vast majority HEAP-eligible households in the Company's service area achieve EAP eligibility, whether through automated matching or self-certification. Therefore, any material reduction of federal funding for such programs would have an adverse — and perhaps severe — impact

[50] *See*, Case 14-M-0565, *Status Report*, EAP Working Group, at 7. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={008CF989-0000-C113-A3C2-2D7A0EB048F8}.

on EAP enrollment, unless the State and the Commission took action to mitigate such impacts.

Q. How many Con Edison customers could be affected by limitations on matching and/or reduced federal funding in terms of their ability to be automatically enrolled in EAP?

A. As of the end of the latest federal fiscal year (September 30, 2024), OTDA reported that there were about 1.05 million regular HEAP benefits authorized in the Con Edison service area. OTDA also indicated that there were approximately 1.1 million households granted SNAP benefits in the service area. Based on OTDA data, I further estimate that there were about 220,000 households in which at least one member received SSI. Separately, DOH reported that there were approximately 4.3 million persons enrolled in Medicaid in New York City and Westchester County as of September 2024, which I estimate represents about 2.6 million households. (Exhibit ___(WDY-01) at 19). I note that there are also uncertainties regarding the ability to include SNAP[51] and SSI[52] in data matching due to privacy considerations.

Q. Could customers impacted by reduced federal assistance and or limitations on matching due to privacy issues be enrolled in EAP though self-certification?

A. Yes. Assuming they meet one of the eligibility conferring benefits, they could be enrolled through self-certification, especially considering the JU's practice of enrolling customers in their EAPs through self-certification as long as one of members of the household is a "Benefit Qualifying Person"; that is, a member different from the customer who receives an EAP eligibility-conferring benefit.[53]

[51] *See*, *Use or Disclosure of Information Obtained from SNAP Applicant or Recipient Households*, 7 CFR 272.1 (c)(2). Available at: https://www.ecfr.gov/current/title-7/subtitle-B/chapter-II/subchapter-C/part-272/section-272.1.
[52] *See*, *How SSA-827 Meets Requirements for Authorization to Disclose Information*, U.S. Social Security Administration. Available at: https://www.ssa.gov/disability/professionals/827requirements.htm#Part1i.
[53] *See*, *Energy Affordability Program Application*, Consolidated Edison. Available at: https://cdnc-dcxprod2-sitecore.azureedge.net/-/media/files/coned/documents/accountandbilling/payment-plans-assistance/energy-affordability-applications/eap-english.pdf?rev=f69d9c23e2334b1f9e60e87e49cd06ff&hash=0425FA81FFB93BD76C52A9DA5F74579F.

Q. What forms of Company administered relief might be available during the rate plan to low-income customers not receiving an EAP eligibility-conferring benefit, whether because federal funding had been reduced or eliminated, or for any other reason?

A. In addition to programs administered/supported by the Company such as EnergyShare, such customers could potentially be eligible for "Enhanced EAP" ("E-EAP"), should this program be implemented through an Order by the Commission.

Q. Please describe Enhanced EAP.

A. Enhanced EAP ("EEAP") is a program that the legislature and governor directed DPS to establish in the 2023-2024 State budget. The appropriation language stated, in part, that the program:

> …provide utility bill relief to utility customers, in consultation with the energy affordability policy working group, for residential customers that do not currently qualify for the energy affordability policy program but whose income is below the state median income, provided however that the Public Service Commission shall consider the feasibility of using area median income or other eligibility thresholds in the event the use of state median income prevents reaching all households that have an energy burden greater than six percent.[54]

Q. What is the current status of EEAP implementation?

A. Staff filed its white paper (a.k.a. "straw proposal") for the design and implementation of EEAP on behalf of the EAP Working Group in Cases 14-M-0565 and 23-M-0298 on March 18, 2025. The Commission also submitted a notice of proposed rulemaking for publication in the State Register, offering the public an opportunity to comment on the proposal for a minimum period of 60 days after its April 9 publication.[55] I do not expect an EEAP Order to be issued by the Commission in time for testimony in these proceedings, however, do I

[54] *See*, Cases 14-M-0565, 23-M-0298, *Staff White Paper on Implementing an Enhanced Energy Affordability Policy*, at 8 – 9. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={0076A995-0000-C691-A194-7501DFA73E7E}.

[55] *See*, *New York State Register*, April 9, 2025, at 67. Available at: https://dos.ny.gov/system/files/documents/2025/04/040925.pdf.

think it is more likely than not that such an Order will be in place in time to be effective as of the beginning of the January 1 2026 Rate Year.

Q. How could EEAP serve as a back-stop for low-income utility customer affordability should federally sponsored programs be curtailed or eliminated?

A. The EEAP appropriation language makes clear that utility customers who *do not currently qualify for the energy affordability policy program but whose income is below the state median income* shall be provided bill relief. Logically, this segment of customers must be assumed to include HEAP-eligible customers, whose eligibility is based on their households having income at or below 60% of SMI. To the extent that enrollment in EAP were to decline due to curtailment of elimination of HEAP or other federally funded programs, customers no longer receiving EAP eligibility-conferring benefits but whose low-income status had not changed would be eligible for EEAP as an alternative source of support.

Q. What is the level of benefit proposed in Staff's Straw Proposal for these customers?

A. Staff proposes that discounts for customers below 60 percent median income but who otherwise do not qualify for low-income EAP would be set at a level equivalent to the benefits provided for Tier 1 customers in low-income EAP.[56] Based on Con Edison's current electric EAP discounts, the benefit for these customers would be $36.77 monthly, or an annual amount of $441.24. I note in this regard that, since almost all EAP participants are enrolled in Tier 1, should federal funding for EAP eligibility-conferring programs be curtailed or eliminated, the back-stop would be almost 100%. (Exhibit ___(WDY-04) at 149).

DISPARITIES BETWEEN COMMUNITIES WITH THE SAME HIGH ENERGY BURDENS

Q. Were you able to compare EAP participation rates geographically among communities having the same high energy burdens?

A. Yes. Column BH of the *Technical Documentation Appendix: Disadvantaged Communities Indicators Workbook [XLSX]* to the CJWG's March 27, 2023, *Final Disadvantaged*

[56] *Supra* note 54, at 24.

Communities Criteria, reflects, for each census tract, home energy affordability in terms of the percentage of census tracts statewide that have lower average energy burdens.[57] Using these data, together with Con Edison's responses to PULP IRs, I was able to determine that customers residing in highly energy-burdened census tracts *geographically* designated as DACs by the CJWG are twice as likely to be enrolled in EAP (on average, 26% of customers) than customers residing in Non-DAC census tracts with the same high energy burdens (just 13% of customers). This disparity is most pronounced in the Bronx, where customers residing in high energy burden DACs are more almost three times as likely to be enrolled in EAP as customers in equivalently burdened Non-DACs (34.2% vs. 12.8%)[58] (Exhibit ___(WDY-11) at 112 - 113).

Q. Can you provide an illustrative example in the Bronx of this disparity?

A. Yes. In the Bronx, both the Seddon Street area (Census Tract 36005020400); and the Kearney Avenue area (Census Tract 36005027401) have CJWG-determined energy burdens that are in the 94th percentile of census tracts statewide. Census Tract 36005020400 is a *geographically* designated DAC; while Census Tract 36005027401 is a *geographically* designated Non-DAC. Despite the fact that both communities have the same high energy burdens, and that the two census tracts are separated by only a 1.9 mile (8 minute) drive[59], 279 out of 990 customers (28%) were enrolled in Census Tract 36005020400 (the DAC); while only 156 out of 1,735 customers (9%) of customers were enrolled in 36005027401 (the Non-DAC). Three times the percentage of customers were enrolled in the DAC community than the Non-DAC community; despite the fact that

[57] *See*, *Technical Documentation Appendix: Disadvantaged Communities Indicators Workbook [XLSX]* at Column BH. Available at: https://climate.ny.gov/-/media/Project/Climate/Files/Disadvantaged-Communities-Criteria/Technical-Documentation-Appendix-Final-Disadvantaged-Communities-Indicator-Workbook.xlsx.

[58] *See*, *Disadvantaged Communities Criteria*, climate.ny.gov. Available at: https://climate.ny.gov/Resources/Disadvantaged-Communities-Criteria.

[59] *See*, *Kearney Ave to Seddon St, The Bronx*. Google Maps. Available at: https://www.google.com/maps/dir/Kearney+Ave,+Bronx,+NY+10465/Seddon+St,+Bronx,+NY+10461/@40.8429322,-73.8784732,14z/data=!4m14!4m13!1m5!1m1!1s0x89c28b449c93c401:0xe0c1c8c628052b31!2m2!1d-73.824494!2d40.8394171!1m5!1m1!1s0x89c2f4b11053a137:0x83ce5360093e6293!2m2!1d-73.8502777!2d40.8416142!3e0?entry=ttu&g_ep=EgoyMDI1MDQyMy4wIKXMDSoJLDEwMjExNDU1SAFQAw%3D%3D.

THEY were determined by the CJWG to have the same high energy burdens. (Exhibit ___(WDY-11) at 5 - 6).

Q. Why does this matter?

A. It matters because—as stated in guidance set forth by the Commission[60]—for purposes of tracking clean energy and/or energy efficiency investments and benefits to disadvantaged communities (including low-income energy assistance), the CJWG specified both a *geographic* component identifying census tracts meeting a broad set of environmental, social, economic and other criteria indicating community vulnerability; as well as an *individual* component that includes low-income households regardless of geographic location.

Q. Were you able to identify any factors that could be contributing to the disparity in EAP enrollment between geographic DACs and Non-DACs with the same energy burdens?

A. Yes. According to the testimony of the Customer Operations Panel, Con Edison's customer outreach program expansion focuses on outreach in DACs. One way this focus appears to be manifesting is in the shift of in-person outreach event locations towards geographically defined DACs. The Company's response to I/R PULP-30A, Attachments 1 and 2 reflect this shift: in 2023, 81 out of 215 in-person outreach events (38%) were held in DAC or "DAC Adjacent" communities. In 2024, 70% (167 out of 239) event were held in DACs or DAC Adjacent communities. The percentage of in-person outreach events held in Non-DACs correspondingly decreased from 62% to 30% from 2023 to 2024. (Customer Operations Panel at 52; Exhibit ___(WDY-04) at 189, 198).

Q. Do you have a recommendation for eliminating the EAP enrollment rate disparity between DACs and Non-DACs at Con Edison?

[60] *See*, *CLCPA-Disadvantaged Communities Investment and Benefits Reporting Guidance*, NYS Department of Public Service, at 2. Available at: https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://dps.ny.gov/system/files/documents/2023/10/disadvantaged-communities-guidance.pdf%23:~:text%3DThe%2520Disadvantaged%2520Communities%2520Criteria%252C%2520as%2520adopted%2520by,of%2520tracking%2520clean%2520energy%2520and/or%2520energy%2520efficiency&ved=2ahUKEwjchsGbyPqMAxUyF1kFHRiAGr0Q-NANegQIKxAI&usg=AOvVaw0GLQeKvmbcYczSERuW3SGJ.

A. Yes. In any multi-year settlement in these proceedings, I propose that the Company agree to study all the factors that have led to the EAP enrollment rate disparity between equivalently high energy burdened DACs and Non-DACs. The goal of this study should be to prioritize EAP enrollment outreach efforts that are focused on reducing high energy burdens in all the communities in its service area, whether or not they are designated as DACs. I believe that, if such efforts take advantage of the capabilities of the Opower Affordability Suite, which the Company proposes to license and which I discuss elsewhere in my testimony, Con Edison can accomplish two goals for EAP simultaneously: closing the enrollment rate disparity between equivalently high energy burdened DACs and Non-DACs, and increasing EAP participation rates overall. In this regard, I note that in simply raising the percentage of EAP participation in highly energy burdened Non-DACs to that of DACs, approximately 45,000 additional customers could be enrolled in the program. (Exhibit ___(WDY-11) at 112 - 113).

Potential Impacts on Disadvantaged Communities

Q. Are you concerned that DACs could be disproportionately burdened by the Company's proposed rate increases?

A. Yes. Notwithstanding my finding that EAP enrollment rates between DAC and Non-DAC communities *with the same high energy burdens* disparately favors DACs, I am generally concerned about the possibility that residents of communities with elevated DAC-defined "Energy Poverty / Cost Burden" vulnerabilities could potentially be disproportionately impacted by the Company's overall rate increase requests. In this regard, I observe that energy burdens in DACs are, on average, in higher statewide percentiles than in Con Edison Non-DAC communities. (Exhibit ___(WDY-11) at 64 - 90). This suggests that DACs in the Con Edison service area could, *on an overall basis*, be disproportionately impacted by the Company's proposed rate increases and should be studied further.

Q. Has the Commission ruled on the applicability of CLCPA section 7(3) to rate cases?

A. Yes. In its *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, in Cases 19-G-0309 et al., the Commission determined that the CLCPA applied to the Joint Proposal in those cases:

> Having considered the matter at great length, we are persuaded that [CLCPA] Sections 7(2) and 7(3) are applicable to the Commission's actions here.[61]

In regard to Section 7(3) specifically, the Commission observed that:

> Section 7(3) provides as follows:
>
> > In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, pursuant to article 75 of the environmental conservation law, all state agencies, offices, authorities, and divisions shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law.
>
> As the language of Section 7(3) also requires application of its terms to agency issuance of "other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts," the interpretation provided for Section 7(2), above, also applies here.
>
> In sum, we find Section 7(2) and (3) applicable to rate cases.[62]

Q. What is your recommendation in light of this finding?

A. I recommend that the parties and the Commission use this information to analyze the extent to which any proposed bill impacts in these proceedings would cause residents in DACs to be disproportionately energy burdened, and to ensure that decisions made herein comply with Section 7(3) of the CLCPA.

Return On Equity ("ROE")

Q. What is the purpose of this section of your testimony?

[61] *See*, Cases 19-G-0309 et al., *Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements*, at 69. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={CC550437-3EC4-4F79-8F83-CFA85C572020}.
[62] *Id.*, at 70.

A. The purpose of this part of my testimony is to make certain recommendations pertaining to the Company's return on equity ("ROE") that are designed to improve the affordability of Con Edison utility bills. I make three main recommendations. First, I recommend that any multi-year settlement in these proceedings include an annual "true-up" of Con Edison's authorized ROE to the Department of Public Service's Staff ROE Model for each year; a deferral of any revenues derived from authorized ROE in excess of or below true-up ROE; and an additional deferral of revenues subject to sharing with customers because they were derived from actual ROEs exceeding true-up ROE (hereinafter, "true-up and sharing mechanism"). Second, I propose that a study be conducted during the rate plan; the objective of which would be to estimate the potential range of impacts that "truing-up" authorized ROE to SRM output annually from 2010 to 2024 would have had upon Con Edison's cost of capital, and upon the incremental resources that would have been necessary for parties to participate in the Company's rate cases. Third, in the event that a multi-year settlement is reached in which these proposals are not adopted, I set forth a design for a more equitable earnings sharing mechanism ("ESM") that would allocate significantly more shared earnings to ratepayers than has been the case historically.

Q. Why do you think that an annual true-up and sharing mechanism of Con Edison's ROE is necessary?

A. Staff's ROE Model ("SRM") data that I analyzed from electric, gas and steam rate cases from 2010 through 2024 indicate that, net of earnings sharing, Con Edison customers were burdened in each of the Company's proceedings since 2009 by delivery rates that incorporated fixed authorized ROEs exceeding SRM costs of equity produced subsequently in Staff testimony in subsequent rate cases. SRM data included in Staff's testimony in rate cases provide regular, publicly available snapshots of changes in macroeconomic and investor expectations affecting the Company's cost of capital over time. (Exhibit ___(WDY-03) at 2). The SRM broadly resembles the model described in

the Recommended Decision in Case 91-M-0509 [63],[64] and has become known colloquially as the "Generic Financing Methodology".[65]

As a result, I estimate that Con Edison customers incurred up to $781.9 million more for delivery service than what they would have been charged had these plans provided for a check on the unrealistic expectations for cost of equity inherent in the fixed ROEs authorized in these proceedings. (Chart 1, Exhibit __(WDY-07) at 2).

Q. Do you believe that continuing the practice of establishing a fixed ROE in any multi-year rate plan that may result from these proceedings is likely to be in the public interest?

A. No. I consider the primary flaw of this framework to be that it establishes fixed ROEs for entire rate terms without incorporating any "true-up" mechanism to account for changes in macroeconomic and investment expectations that impact the Company's cost of equity as realized during the rate plan. In each case I analyzed from 2009 through 2022, a fixed ROE was authorized. (Exhibit ___(WDY-03) at 3 – 8).

Q. Why is this a problem?

A. Macroeconomic and utility sector investment considerations, as measured by expectations for gross domestic product, inflation, stock prices, dividends, interest rates, the possibility of recession, and other factors, changed significantly during the years encompassed by each of these rate plans. Reflecting these changes, Staff's ROE Model in rate cases from 2010 through 2024 produced average costs of equity that were lower than authorized Con Edison ROEs in ten of fourteen electric and gas rate years. In three electric rate years, authorized ROEs were more than one percent (100 "basis points" or "bps") higher than the average

[63] *See*, Case 23-G-0627, *Prepared Rebuttal Testimony of David P. Warnock*, at 4. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={D0BB678E-0000-C457-BA0C-2FE6FCB12440}.

[64] *See*, Case 91-M-0509, *Proceeding on Motion of the Commission to Consider Financial Regulatory Policies for New York State Utilities*, *Recommended Decision*, 7/18/1994, at 96 - 97.

[65] *See*, for example: Cases 19-E-0065 et al., *Direct Testimony of Bente Villadsen,* at 10 (PDF 68). Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={180CD3E1-E6F2-4E6A-9D7A-4AB0D0CDF49B}; *see also*, Cases 19-E-0065 et al., *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan*, at 24. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={7B06921C-6160-4FFD-B10F-1C1D03F16AEE}.

SRM ROE output produced in subsequent rate cases; while in six of these years, authorized ROE was more than 50 bps higher. In the gas cases, authorized ROE exceeded average SRM ROE output by over 50 bps in nine rate years. (Exhibit ___(WDY-03 at 3 - 10).

Q. Has PULP been a signatory to any JPs in the settled cases of any utilities that included fixed authorized ROEs?

A. Yes. PULP was a signatory party to the 2017 and 2020 Central Hudson JPs. In each of these proceedings, PULP considered the totality of impacts on Central Hudson low-income customers of all JP terms and conditions in making its decisions to join as a signatory party. In particular, as discussed in its statements of support in Cases 17-E-0459 and 17-G-0460, PULP assessed that the significant reductions in residential monthly customer charges agreed by the parties (cumulatively, 18.75% for electric and 6.73% for gas), for which PULP had consistently advocated and which had been generally unprecedented up to that time, were compelling reasons to support the JP.[66] Monthly customer charge reductions, which were not achieved in any other rate case except in Orange and Rockland Cases 18-E-0067 and 18-G-0068[67], were then preserved by the JP signatory parties in Central Hudson Cases 20-E-0428 and 20-G-0429.[68] Moreover, in the 2020 cases, Central Hudson actually proposed in its direct testimony to hold these charges at the reduced levels agreed upon in the 2017 cases. Additionally, in 2020 the signatory parties accepted, with modifications, a direct testimony proposal by the Company[69,70] to eliminate declining block rates for gas – another policy objective for which PULP had long advocated. The

[66] *See*, Cases 17-E-0459 et al., *Joint Proposal*, Appendix M Sheets 2 and 9. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={23A0D112-6570-491B-A7ED-BB1179EFA6D4}.
[67] PULP also supported the gas rate plan in Case 17-G-0068. *See*, Cases 17-E-0067 et al., *Joint Proposal*, Appendix 17, Schedule 5 at 1; Appendix 18, Schedule 5 at 1. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={4B649DF6-BE74-43A5-AA10-46CE0578BF16}.
[68] *See*, Cases 20-E-0428 et al., *Joint Proposal*, Appendix M Sheets 2 and 9. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={39210039-F53D-4BBE-B83C-072CDB358F11}.
[69] *See*, Cases 20-E-0428 et al., *Central Hudson Forecasting and Rates Panel Testimony*, at 53. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={78C6F4E6-3939-4997-9257-C3B701E8E261}.
[70] *See*, Cases 20-M-0428 et al., *Joint Proposal*, at 39. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={39210039-F53D-4BBE-B83C-072CDB358F11}.

achievement of these two policy objectives over the course of two rate cases, and the significant delivery bill savings they would obviously provide to low-to-moderate usage residential customers, were important considerations for PULP in deciding whether, on balance, the totality of the terms and conditions in these two JPs were in the public interest.

Q. Why didn't your analysis account for all of the authorized ROEs resulting from multi-year agreements that were higher than ROEs initially recommended by Staff?

A. My intent was to compare the Company's authorized ROEs to the objective results of the Staff ROE Model; it was not to compare them to the authorized ROEs of other settled cases. Indeed, my analysis highlights the problem I find inherent in this setting of fixed authorized ROEs in multi-year settlements. Comparing authorized ROEs in multi-year settlements with each other would have served no purpose in this regard.

Q. Did you consider the effect of ESMs as mitigators of these excess delivery charges?

A. Yes. In accordance with Commission Orders, I considered the ESMs in all five rate proceedings which, including the stub periods in Cases 09-E-0428 and 09-G-0795, yielded $59.3 million in revenue requirement equivalent of excess earnings to be shared with customers. I then deducted that shared revenue to arrive at my conclusions. (Exhibit ___(WDY-03) at 3, 5, 12).

Q. Do you think $59.3 million of revenue requirement equivalent was sufficient compensation for Con Edison customers paying in rates amounts that allowed the Company to realize actual ROEs in excess of its authorized ROEs?

A. No. The $59.3 million of revenue requirement equivalent shared with customers represented just 4% of a total of $1,617.3 million ($1.6 billion) of revenue from 2010 to 2024 that I believe should have been subjected to equitable sharing between the Company and ratepayers (Exhibit ___(WDY-03) at 15). I do not consider this to be a justification for setting the Company rates based on fixed ROEs consistently in excess of SRM output.

Q. Please describe the "true-up and sharing mechanism" you recommend as an alternative to setting an authorized ROE that is fixed for the entirety of any multi-year rate plan in these proceedings.

A. I recommend that any multi-year settlement include an annual true-up of Con Edison's authorized ROE to the Staff ROE Model for each year; a deferral of any revenues derived from authorized ROE in excess of or below true-up ROE; and an additional deferral of revenues subject to sharing with customers because they were derived from actual ROEs exceeding true-up ROE.

Q. What is the purpose of the sharing component of the true-up and sharing mechanism?

A. This component is designed to incentivize Con Edison to find efficiencies, control costs, or otherwise seek improvements to its operations as its actual earnings approach or exceed its expected true-up ROE (though no adjustment mechanism would be employed in situations where actual ROE fell below true-up ROE). The disposition of such deferrals would be determined through the evidentiary process in the Company's next rate case.

Q. Please describe the steps that would be necessary to adopt the true-up and sharing mechanism.

A. The steps that would be necessary to adopt this mechanism include:

- Shortly after the conclusion of each rate year in these proceedings, DPS would file an update of its direct testimony ROE Model on DMM reflecting the rate year realized monthly average cost of equity calculation. Staff would include in their update explanations for any necessary changes in inputs to the model, such as proxy group modifications in their update.

- The Company would then calculate a true-up of its authorized ROE to the realized cost of equity produced by the Staff ROE Model, and recognize the consequent delivery revenue impacts arising from the true-up as regulatory deferrals: with credits recorded for rate years in which authorized ROE exceeded true-up ROE (e.g. Exhibit ___(WDY-03) at 3, RYs 1 - 3); and debits recorded in years when true-up ROE exceeded authorized ROE (e.g. Exhibit ___(WDY-03) at 9, RYs 1 - 3).

- Additionally, for years in which actual ROEs exceed true-up ROEs, Con Edison would calculate the consequent delivery revenue impact of this variance, and the portions of such revenues to be shared between the Company and ratepayers, as

follows:

- Excess revenues derived from actual ROEs exceeding true-up ROEs up-to 150 basis points, representing the average range in the Company's last three rate cases between its authorized ROE and the beginning of the 90% customer share ESM tier. (Exhibit ___(WDY-03) at 13):

  50% to ratepayers, 50% to the Company ("equal shares").

- Actual ROEs exceeding True-Up ROEs by more than 150 basis points:

  Equal shares for the portion of revenues derived from actual ROEs up-to 150 basis points, plus;

  90% to ratepayers for the portion of revenues derived from actual ROEs more than 150 basis points higher than true-up ROEs.

Calculated ratepayer and Company shared amounts resulting from actual ROEs exceeding true-up ROEs would then also be recognized as deferrals, net of any true-up deferrals already recognized.

- No amounts resulting from actual ROEs falling short of true-up ROE would be recognized.
- The disposition of deferrals would be determined through the evidentiary process in the Company's next major rate case.[71]

Q. Why did you set a threshold of 150 basis points over True-Up ROEs above which the customer share of excess revenues would be increased to 90%?

A. In the last three rounds of rate cases among the State's major electric and gas utilities (including Con Edison), ESMs have generally included a 90% sharing tier beginning at 150 bps above authorized ROE. This has served to provide some degree of protection to ratepayers from paying for an excessive return. I propose that such a tier be included under

[71] For purposes of developing Exhibit ___(WDY-03), I assumed that no adjustments to deferral amounts, other than those included in Staff's direct testimony in each case, resulted from the evidentiary process determining the subsequent disposition of deferrals.

my proposal for a true-up and sharing mechanism, and that it start at this average over the true-up ROE.

Q. Why didn't you include a provision for recovering from ratepayers in the event that the Company did not achieve its true-up ROE?

A. The authorized ROE is, as the Commission stated in the 2013 Con Edison case, designed to provide the Company the opportunity to recover the cost of funds supplied to it by investors that is adequate, assuming efficient and economical management by the Company.[72] It is not intended to be a guarantee that such a return would be provided.

Q. Please describe the study you propose of impacts on cost of capital and upon incremental rate case resource needs had your true-up and sharing mechanism been adopted in Con Edison rate cases since 2010.

A. I recommend that the signatory parties agree to undertake a study, the objective of which would be to estimate the potential range of impacts such a true-up and sharing mechanism would have had upon Con Edison's cost of capital, and upon the incremental resources that would have been necessary for parties to participate in the Company's rate cases. All parties in these proceedings, whether signatory or non-signatory, should be invited to participate in the study, the findings of which I propose to be submitted in a final report to the Commission prior to the filing of Con Edison's next rate case. All parties should have the opportunity to submit comments on the final report.

Q. Why is a study necessary to analyze the potential impacts relating to certain aspects of cost of capital and rate case expenses that may have been incurred had your proposed true-up and sharing mechanism been in place from 2010 through 2024?

A. Such a study is necessary to assess the extent to which Con Edison's cost of equity and/or debt, and the direct and indirect cost of conducting rate cases, could have been affected by the application of my proposed true-up and sharing mechanism. Incremental costs that may have had to be incurred should be considered in order to present a more complete picture

[72] *See*, Cases 13-E-0030 et al., *Order Approving Electric, Gas and Steam Rate Plans in Accord With Joint Proposal*, at 9. Available at: https://documents.dps.ny.gov/public/common/viewdoc.aspx?DocRedId={1714A09D-088F-4343-DF91-8DEA3685A614}.

of the potential savings that could have been achieved, and which are possible during any rate plan in these proceedings.

Q. Has an annual ROE true-up mechanism been proposed in the JPs of any past proceedings before the Public Service Commission?

A. Not to my knowledge; however, I note that the recommended decision ("RD") in Case 91-M-0509,[73] which continues to guide Commission policy pertaining to the setting of authorized utility return on equity in New York, included a recommendation that the Commission adopt an annual proceeding framework for determining ROE:

> In general, therefore, it is recommended that the Commission institute an annual rate of return proceeding for each industry group, at which time, using proxy group analysis and the specific methods discussed below, an annual return on equity will be determined for each.

Q. Do you think it is as likely that the use of an annual ROE true-up process would result in rate increases as it would in rate decreases?

A. That does not appear to be likely based on the historical data I analyzed from 2010 through 2024. While there was some upward variability in SRM ROE in those years, it was only in Rate Years 1- 3 in the 2019 cases and Rate Year 2 in the 2022 electric case that such increases would have more than offset the savings achieved by a true-up and sharing mechanism. (Exhibit ___(WDY-03) at 3 - 10).

Q. Could an annual ROE true-up process have made it less likely that parties would have agreed to multi-year plans?

A. It's important to acknowledge that there are a multitude of terms and conditions inherent in comprehensive settlements in multi-year plans that parties, in general, consider when deciding whether to settle. However, when reviewing the low level of annual rate case allowances proposed by the Company (about $3.9 million) in relation to the potential savings to ratepayers that could have been achieved by an annual ROE true-up process from 2010 through 2024 (up to $781.9 million, an annual average of up to $54.2 million),

[73] *Supra*, note 64 at 31.

and subject to the findings of the study I have recommended of the 2009 through 2022 cases, I believe that the potential benefits to ratepayers would have outweighed the possible cost impacts of more frequent rate cases. (Exhibits ___(AP-E3), Schedule 16, at 2; ___(AP-G3), Schedule 6).

Q. How would such an annual ROE true-up process address the fact that utilities in New York, including Con Edison, very often don't even earn their authorized ROE, and that truing up ROEs could further erode their operating performance?

A. Authorized ROE is only one of the factors contributing to operating performance. In my opinion, it should have little to do with the separate rate case process of setting allowances for recovery of operating costs. In this regard, I am informed by PULP's argument in Case 91-M-0509 that a more empirical approach to setting the return on equity helps avoid the consideration of non-cost-of-equity issues in setting the return on equity. At that time, PULP acknowledged that such considerations may be bona fide, but argued that the place to recognize them is not in the cost of equity calculation. As an example, PULP cited a utility in financial distress. In PULP's view, cash flow relief would be preferable to an increased authorized return on equity; the former increases rates in the term, while the latter has longer term effects.[74]

Q. Does the Commission have tools to ensure that utilities do have the opportunity to earn their authorized ROEs when they are managed efficiently and economically but incur expenses that are beyond their ability to forecast or control?

A. Yes. As DPS Staff observed in the last Con Edison rate case,[75] the Commission has tools at its disposal to mitigate the impact of business risks on utility earnings and cash flow:

> New York State regulation offers a myriad of benefits to the utilities it regulates. In addition to fully forecasted test years and the ability to earn their allowed return, New York regulation also allows for risk-reducing deferral and true-up

[74] *Id*.at 21 - 22.
[75] *See*, Cases 22-E-0064 et al., *Staff Finance Panel Testimony*, at 135. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefID+{D445891E-73E9-489B-82E7-3D4974886BF3}. https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={D445891E-73E9-489B-82E7-3D4974886BF3}.

mechanisms, a full pass through of commodity costs to ratepayers and an approach to setting ROEs that is very transparent and predictable. These attributes of New York State regulation reduce the risk borne by the owners of New York utility equity, thereby reducing the return required and the cost of equity. These risk-reducing regulatory mechanisms are not employed in all jurisdictions, and those jurisdictions that use them may not do so to the same extent as New York.

Q. Are there specific risk-reducing regulatory mechanisms that the Commission has historically provided Con Edison to address the increased business risks associated with their multi-year rate plans?

A. Yes, the Company has historically been provided numerous risk mitigators in their rate plans. For example, the Commission's *Order Establishing Rates for Electric and Gas Service* in Cases 22-E-0064 et al. provided numerous deferral accounting mechanisms, certain of which are symmetrically balanced to address the interest of ratepayers[76], including those for:

Electric Deferred Debits

Energy Efficiency
Brooklyn Queens Demand Management Program
Non Wire Alternative Projects
REV - Demonstration Projects
Electric Vehicle Smart charge
Storage Dispatch General Expenses - 10 yrs
Storage Dispatch General Expenses - 7 yrs
System Peak Reduction
Site Investigation and Remediation (SIR) Program Costs
EV Make Ready
Storm Reserve

[76] *See*, Cases 22-E-0064 et al., *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements, Joint Proposal at Appendix 3 (PDF Page 353 - 354)*. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={40057589-0000-CA12-8AED-981944A08EED}.

Pensions/OPEBs
MTA work
Emergency Low Income Credit
Interest on Deferrals
Interest on Rev Req
Federal Tax Reform Transition Period
Management Audit
NYSIT Rate Change
WTC Incident System Restoration Interest Accrued
Preferred Stock Redemption
Legacy Meters

Electric Deferred Credits

Sale of Property - Gain on North 1st Street
Interference
Sales and Use Tax Refund
Interest Rate True-Up (Auction Rate / LT Debt)
BQDM & REV Demo Carrying Charge Deferral
Carrying Charges (Net Plant Reconciliation)
Sale of Property - Gain on Kent Avenue
Management Variable Pay
Health Insurance Deferral Tax
Energy Efficiency programs Carrying Charge Deferral
Riley & Quinn Storm Settlements
Property Tax Deferrals
AMI Customer Engagement
DSM Liquidated
Tropical Storm ISAIAS Insurance Proceeds
Additional 18A Assessment
Carrying Cost - SIR Deferred Balances
Former Employees/Contractor Proceeding

Electric Vehicle Rate Incentive Expense True Up
Property Tax Refund Town
Capital Expense Carrying Charge Refund
Prop Tax Refund City
Customer Cash Flow Benefits - Bonus Depreciation
LPC and Other Revenues Over Recoveries
LP Shutdown Contingency Study

Gas Deferred Debits

Energy Efficiency
Meadowlands Heaters
Gas Service Line
Pensions/OPEBs
Site Investigation and Remediation (SIR) Program Costs
Interest on Deferrals
Federal Tax Reform Transition Period
Pipeline Upgrade Projects
Positive Incentive Revenue Adjustments
Management Audit
NYSIT Rate Change
Building Meter Conversion Study
Customer Cash Flow Benefits - Bonus Depreciation
Preferred Stock Redemption

Gas Deferred Credits

Carrying Charges (Net Plant Reconciliation)
Property Tax Deferrals
Interference
Interest Rate True-Up (Auction Rate / LT Debt)
Sales and Use Tax Refund
Inside Gas Meters
Management Variable Pay

Penalties on Off-peak / interruptible customers
Health Insurance Deferral Tax
Energy Efficiency and DM Programs Carrying Charge Deferral
Prop Tax Refund City
Pipeline Integrity
Additional 18A Assessment
Former Employees/Contractor Proceeding
R and D Recon
AMI Customer Engagement
Carrying Cost - SIR Deferred Balances
Transition Gas Adjustment
Unauthorized Use Charge - Divested Stations
LPC and Other Revenues Over Recoveries

Q. Does setting rates over a multi-year period involve increased financial risks that should be considered when setting authorized ROEs?

A. Yes, although as I have shown, the balance of these risks in all but the 2019 cases and Rate Year 2 in Case 22-E-0064 was borne by ratepayers. These limited instances in which the Company would have been entitled to a surcharge on customer bills are indicative of the true-up and sharing mechanism's symmetrical responsiveness to changes in macroeconomic and investment expectations affecting Con Edison's costs of equity.

Earnings Sharing Mechanism ("ESM")

Q. Do you think that an earnings sharing mechanism ("ESM") in these proceedings is likely to be an effective mechanism that mitigates any impact of earnings in excess of SRM output?

A. No. It is unlikely that any ESM in these proceedings will provide equitable sharing in that it will likely continue to set the "dead band" above the authorized ROE before any sharing occurs. This was the case in each proceeding from 2009 through 2022, in which dead bands were set ranging from 0.5% (50 bps) to 1.0% (100 bps) above authorized ROE. (Exhibit ___(WDY-03) at 13 - 14) This observation alone is evidence that ESMs do nothing to

address the fundamental flaw of settled rate plans, which is that authorized ROEs are established that are not subject to adjustment to account for changes in macroeconomic and investment expectations affecting utility cost of equity during the individual rate years of these plans.

Q. What was the breakdown of ESM sharing between ratepayers and shareholders in the last three rate cases?

A. Of a total of $178.3 million of revenue requirement equivalent in excess earnings in 2016, 2019 and, to date in the 2022 proceedings, all but $3.2 million (1.8%) was retained by the Company. This disparity, which overwhelmingly benefited shareholders, was almost entirely due to the inclusion of a dead band in the design of the ESM in each case. (Exhibit ___(WDY-3) at 14).

Q. Why did you exclude from your ESM analysis years in which the Company did not achieve their authorized ROEs?

A. My analysis focused on all situations in which there were earnings to share, with the intention of evaluating, on a comprehensive basis, how effective the ESMs in place from 2017 through 2024 were in providing equitable sharing of excess returns between shareholders and ratepayers in such situations in which they occurred. For this reason, it did not include situations in which the Company "underearned".

Q. Don't you think it would have been appropriate to include "underearning" years in your ESM analysis?

A. No. Except for the 2009 cases, each of the Company's rate plans have specified that the final test for overearning is to be determined for individual rate years. If the Commission's intention after 2009 was to require the sharing of earnings on a cumulative basis, I believe it would have directed that ESMs be designed to reflect such an intention. My ESM analysis captures all situations in which overearning occurred, in line with the appropriate type of test for overearning directed in each rate plan.

Q. Please describe your recommended ESM, should your true-up and sharing mechanism not be adopted as part of a multi-year settlement in these proceedings.

A. I propose any adopted ESM have no "dead band" and provide for equal sharing between shareholders and ratepayers of any earnings derived from actual returns in excess of authorized ROE. I further propose that the test for earnings sharing be annual, as was the case in the 2016, 2019 and 2022 proceedings.

Q. What effect would your proposal to eliminate dead bands have had on the amount of excess earnings shared with customers in the past three proceedings?

A. After the incorporation of a 150-basis point limit for 50/50 sharing, over which the customer share of excess earnings would have increase to 90%, customers would have shared an additional $81.6 million in these proceedings. (Exhibit ___(WDY-03) at 14).

Q. Would your proposal include a provision for the Company to provide a portion of its share of excess earnings to reduce the deferred balances of site investigation and remediation costs, as has been the case in prior Con Edison settlements?

A. As presented, it would not. I note, however, that in my historical analysis of ESM sharing I have included amounts contributed by the Company from it its share of excess earnings toward the reduction of SIR deferrals as part of the sharing benefiting ratepayers. I would be supportive of the continuation of this practice, if the parties were so inclined.

Q. Why did you set a threshold of 150 basis points over authorized ROE above which the share of excess earnings would be increased to 90%?

A. The 90% sharing tier has historically served to provide some degree of protection to ratepayers from paying for an excessive return. In the last three rate cases, the threshold start for this tier has averaged 150 basis points. I propose that such a tier be included under my ESM proposal and that it start at this average.

Customer Service

Language Access

Q. What are Con Edison's proposals in these proceedings to increase language access for its customers?

A. The Company proposes to expand the languages for which it primarily provides translations from Russian, Chinese, and Korean to also include Bengali, Polish, Haitian-

Creole, Urdu, and Yiddish. It also seeks to adopt a program being developed by its third-party email provider, Questline, that would enable customers to translate all emails into multiple languages. Finally, Con Edison is exploring similar translation technologies for other communications such as website translations that can be adopted in preparation for the retirement of Google Translate. (Customer Operations Panel Testimony at 54).

Q. Do you think there is a need for Con Edison to expand the languages for which it provides translations to also include Bengali, Polish, Haitian-Creole, Urdu, and Yiddish?

A. Yes. Based on my estimates, in the Con Edison service area, there are approximately 224,000 HEAP-eligible households whose language spoken at home is not English and who reported having limited English proficiency ("LEP"). The languages for which Con Edison already provides language translations are spoken by about 180,000 (80%) of these LEP households. Expanding translation support to households speaking Bengali, Polish, Haitian-Creole, Urdu or Yiddish would raise that total by approximately 16,000, to 196,000 (88%) of LEP households. (Exhibit ___(WDY-13) at 20 - 21).

Q. Why else are Bengali, Polish, Haitian-Creole, Urdu, and Yiddish significant additions to the languages for which Con Edison provides translation?

A. Adding translation services for these languages will help Con Edison align its language access services with Local Law 30, which requires covered New York City agencies to provide language access services for the City's ten official languages: Spanish, Chinese (Traditional and Simplified), Russian, Bengali, Haitian Creole, Korean, Arabic, Urdu, French and Polish.[77]

Q. Please describe the Company's other proposals regarding improved language access.

A. According to the Customer Operations Panel, Con Edison's third-party email provider, Questline, is developing a program to enable customers to translate all emails into multiple languages, and the Company is exploring similar capabilities for other communications

[77] *See*, *Local Law 30*, NYC Mayor's Office of Immigrant Affairs. Available at: https://www.nyc.gov/assets/immigrants/downloads/pdf/Local_Law_30.pdf.

and plans to contract with a vendor for website translations when Google Translate is discontinued. (Customer Operations Panel at 54)

Q. How is Con Edison preparing for the retirement of Google Translate?

A. The Company's response to I/R PULP-33 indicates that it does not know when Google Translate will be discontinued, as Google's phase out plans have changed over time. As such, the Company plans to closely follow any announcements of phase out. Con Edison also plans to release an RFP to identify, and contract with, a suitable and cost-effective alternative to Google. It does not currently have any benchmarks on current website translation cost tools, as Google Translate is provided to all web users free of charge. (Exhibit ___(WDY-14) at 3).

Q. What is Con Edison's rationale for adopting the Questline translation program ("widget")?

A. The Customer Operations Panel states that the Company has experienced increased need for translations of all digital communications. It believes that, rather than increasing the time it takes to develop an email through the translation process and subsequent proofing, it is preferable to deploy a widget that customers can use to translate any email they receive in a multitude of languages. Con Edison considers this tool to be essential for expanding its Language Access initiative. (Exhibit ___(CO-8) at 3).

Q. Do you have any other proposals for improving Con Edison's provision of language access to LEP customers?

A. Yes. As has been proposed by the signatory parties in Cases 24-E-0461 et al.[78], I recommend that Con Edison implement a plan to code previously uncoded residential customer accounts as LEP when a customer self-identifies during the collections process; and provide a 15-day extension during which the Company will not pursue service termination. I propose that this 15-day window be triggered at any time in the overall collections process, regardless of the point at which the customer self-identifies as LEP (e.g., Reminder Notice, Final Termination Notice, outbound phone call, etc.).

[78] *Supra* note 9, at 51.

Elderly, Blind And Disabled Customers

Q. How many Con Edison customers had their accounts coded for protections indicating that were elderly, blind or disabled as of December 31 2024?

A. The Company's response to I/R PULP-24 states that the accounts of 248,676 elderly, blind or disabled ("EBD") customers were coded for protections as of December 31 2024. (Exhibit ___(WDY-04) at 159).

Q. Were you able to estimate the number of households in the Con Edison service area who were potentially eligible to have their accounts coded for EBD protections?

A. Yes. I estimated that there were 747,739 such households in the service area potentially eligible to have their accounts coded for EBD protections in 2023. Of these households, I estimate that 336,672 were HEAP-eligible. (Exhibit ___(WDY-13) at 26 - 29).

Q. What were the criteria you used to evaluate potential eligibility for EBD protections?

A. I used the criteria set forth by HEFPA which requires that in order to be eligible for protections, households must be comprised entirely of members who are either elderly, blind and/or disabled.[79] To arrive at my estimates, I applied these requirements to 2023 ACS data in which survey respondents reported each household member's status regarding advanced age, vision difficulty or presence of disabilities. (Exhibit ___(WDY-02) at 24, 58 – 59).

Q. Do you think that all 747,739 households you estimate are potentially eligible for EBD protections actually meet the HEFPA EBD requirements?

A. No. The answers by ACS respondents to questions about age, vision difficulty or presence of disabilities in their households are not determinative of eligibility for HEFPA EBD protections. For example, questions regarding "vision difficulty" are just that; they do not ask whether the respondent is blind. The survey does not ask whether members meet the HEFPA criterion for blindness of having central visual acuity of 20/200 or less in the better eye with the use of a correcting lens. Similarly, questions involving disabilities ask whether

[79] *See*, 16 NYCRR § 11.5(b).

respondents are "with a disability" or "without a disability".[80] The survey does not ask they have disabilities as defined in the Human Rights Act (Executive Law, § 292(21)).

That said, because the survey specifically requests the age of individual household members, and HEFPA specifies defines "elderly" as persons age 62 or older, it is possible to arrive at a reasonable estimate of the number of households in the Con Edison service area who could be eligible for EBD protections solely by virtue of their age; that is, only survey respondents reporting that all household members are aged 62 or older. I estimate that there were 406,862 households in the service area meeting these criteria in 2023, 144,777 of whom were HEAP-Eligible households. (Exhibit ___(WDY-13) at 30 – 33).

Q. Were you able to determine the number of Con Edison customers whose accounts are coded for EBD protections by virtue of being elderly?

A. Yes, the Company's response to I/R PULP-29 indicates that as of December 31, 2023, 187,847 elderly customers were coded for EBD protections, which represents 46% of my estimate of households in the Con Edison service area aged 62 or older. By the end of 2024, 208,820 elderly Con Edison customers had their accounts coded for EBD protections. (Exhibit ___(WDY-04) at 182).

Q. Do you have a proposal to facilitate increased coding of the accounts customers who are elderly, blind or disabled customers for EBD protections?

A. Yes. I recommend that, in any multi-year settlement in these proceedings, the Company agree to include screening for EBD eligibility in all collections-related interactions with customers, as urged by PULP and AARP in their April 15 2025, joint letters to the PSC and the State's major electric and gas utilities. The goal of such interactions with elderly, blind or disabled customers should be to make sure they coded as such, to help them manage their arrears, and ultimately to help them prevent service termination for nonpayment.

[80] *See*, *2019-2023 ACS PUMS Data Dictionary*, U.S. Census Bureau, at 35, 55. Available at: https://api.census.gov/data/2023/acs/acs5/pums/variables.html.

Opower Affordability Suite

Q. Please describe Con Edison's proposal to add the Opower Affordability Suite to identify, engage, and enroll customers in the Company's affordability programs.

A. "Opower" is a software-as-a-service customer engagement platform for utilities offered by Oracle Corporation.[81] Con Edison proposes to license the Opower Affordability Suite for purposes of enrolling customers in its affordability programs, including EAP. According to the Customer Operations Panel, the suite includes data analytics and machine-learning algorithms that identify customers most likely to need assistance on their energy bills by combining public demographic data with actual energy consumption and bill amounts. Customers may also enroll in a series of personalized, seasonal email alerts, which direct customers to an affordability "one-stop shop" that shows each customer the programs for which they are eligible. (Customer Operations Panel at 54 – 55)

Q. Has Con Edison taken customer privacy issues into account in making this proposal?

A. Yes. The Company's response to I/R PULP-21 (c) indicates that Opower uses census-tract level third-party data, paired with utility-provided data, to enable its machine learning algorithms to identify customers' energy burden. Con Edison further states that, currently, Opower does not use any customer-level third-party data about demographics or income—concluding that Opower complies with all applicable data privacy laws as part of its contract and data privacy agreement with Con Edison and in alignment with the Company's privacy policy.[82] (Exhibit ___(WDY-04) at 131 – 133).

Q. Do you support this proposal and, if so, why?

A. Yes, I support the Con Edison proposal to license Opower's Affordability Suite for purposes of enrolling customers in its affordability programs, contingent upon the Company committing to use this platform to close the EAP enrollment rate disparity between geographically designated DACs and Non-DACs, as I discuss elsewhere in my testimony. Not only could Opower be a vital tool for increasing enrollment in EAP, but it could also facilitate participation in other Company bill assistance resources; such as

[81] *See*, *Opower*, Oracle Corporation. Available at: https://www.oracle.com/utilities/opower-energy-efficiency/.
[82] *See*, *Con Edison Privacy Statement*. Available at: https://www.coned.com/en/conedison-privacy-statement.

EnergyShare, coordination with social services agencies (HRA, Westchester DSS), Statewide Solar for All ("SSFA"), Renewable Energy Access and Community Help ("REACH"), Empower, budget billing, and deferred payment agreements ("DPAs").

Q. Has PULP made proposals in other rate cases to increase enrollment in EAP that seek to use similar approaches as those employed by the Opower Affordability Suite?

A. Yes. PULP has proposed in most rate cases since the 2022 Con Edison proceedings that customer account histories be analyzed to identify indicia of potential utility unaffordability to efficiently target direct outreach to those customers whose account histories indicate they may be eligible for EAP. PULP also suggested this approach be used for eligibility screening as part of statewide "Arrears Management Phase II" assistance in Case 14-M-0565, which was subsequently adopted by the EAP Working Group and approved by the Commission.

PULP has also consistently advocated for the use of census data to further focus outreach in communities where energy burdens are high and EAP enrollment is comparatively low, most recently in Cases 24-E-0322 et al., using this data in tandem with indicators of potential financial need from customer account histories to achieve a highly targeted, impactful approach to increasing EAP enrollment in Niagara Mohawk's EAP.[83]

Both of these approaches are consistent with the approaches used by the Opower Affordability Suite to identify customers potentially eligible for bill assistance.

Q. Do you think that the Company's proposal to use Opower has the potential to achieve the EAP enrollment objectives for which you have been advocating since 2022?

A. I have confidence that that is the case. Additionally, I believe that implementation of the Opower capability to achieve such objectives would represent a significant degree of scale and efficiency beyond that which would have been possible otherwise. Supporting my belief, Con Edison's response to I/R PULP-21 (b) indicates that it anticipates cost-efficiencies and benefits to customers based on past experiences with Opower. Opower has

[83] *See*, Cases 24-E-0322 et al., *Testimony of William D. Yates, CPA for the Public Utility Law Project of New York, Inc.*, at 25. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={F0B32F92-0000-C23C-BB9F-9B00DE3D54C0}.

also represented that, in its experience with another Northeast utility, customers were six times more likely to sign up for arrearage management after engaging with Opower. (Exhibit ___(WDY-04) at 131 – 133).

Q. Do you think that Opower could be used to reduce or eliminate the disparity in percentage EAP enrollment between equivalently energy burdened customers residing in DACs and those residing in Non-DACs?

A. Yes, Opower should be capable of identifying customers in Non-DACs having equivalent high energy burdens to high energy burden DACs, but lower rates of EAP participation. This supports my recommendation that, should Con Edison's proposal to license Opower be approved in these proceedings, it should commit to developing a campaign that would focus on eliminating this disparity.

Q. What would the RY1 cost be to license Opower and implement its capabilities?

A. Based on the Company's response to I/R PULP-20, I estimate that this cost would not exceed $300,000. (Exhibit ___(WDY-04) at 129 - 130).

Affordable Multifamily Electrification Pilot

Q. Please describe Con Edison's proposal to undertake an Affordable Multifamily Electrification Pilot in these proceedings.

A. Con Edison proposes to conduct an Affordable Multifamily Electrification Pilot designed to address an anticipated "cost shift" stemming from heating electrification in certain multifamily (i.e., five or more units) buildings by providing bill credits to eligible EAP enrolled/eligible residents to cover incremental heating costs. The Customer Energy Solutions Panel indicates that the pilot would focus on situations in which residents of unregulated "naturally occurring affordable housing" ("NOAH")—whose rent historically included the cost of fossil fuel-based heating—had their heating converted to in-unit heat pump systems, resulting in them becoming responsible for their heating as part their electric bills. (Customer Energy Solutions Panel Testimony at 19 – 22)

Q. Does Con Edison propose to include other forms of heating electrification, such as electric baseboard heaters; electric wall heaters; ductless heat pumps ("mini-splits")"; and packaged terminal air conditioners ("PTACs") in its proposed pilot?

A. The Company's response to I/R PULP-31A states that Con Edison "will identify conversions to in-unit heat pump systems or other eligible heating electrification measures through the Affordable Multifamily *Energy Efficiency Electrification* program" ("AMEEP-E"). (Exhibit ___(WDY-04) at 200). Based on the response to I/R PULP-54, it appears that AMEEP-E is a Con Edison-specific limited offering where the Company is recruiting a select number of regulated and subsidized affordable multifamily buildings to receive incentives for full heating load electrification. Importantly, AMEEP-E is different from the "New York State Affordable Multifamily *Energy Efficiency* Program" ("AMEEP"), which is a combined effort of the Joint Utilities of New York and the New York State Energy Research and Development Authority (NYSERDA) offering incentives for the installation of energy efficient equipment and technology to affordable multifamily buildings with five or more units.[84] The Company's response to I/R PULP-54 further states that it plans to expand AMEEP-E in 2026 by integrating it into AMEEP. If such an integration does proceed, then based on the AMEEP Program Manual, it appears that other electrification technologies (e.g. PTACs) would be eligible for inclusion in the pilot.[85] (Exhibit ___(WDY-14) at 37).

Q. Would customers eligible, but not enrolled, in EAP be automatically enrolled in connection with their participation in the pilot?

A. The Company's response to I/R PULP-31G indicates that pilot contractor will inform residents of pilot buildings about the benefits of and application process for the EAP and encourage them to self-certify and enroll in the EAP if they are not already enrolled.

[84] *See*, *New York State Affordable Multifamily Energy Efficiency Program*, New York State Energy Research and Development Authority. Available at: https://www.nyserda.ny.gov/All-Programs/Residential-and-Property-Owner-Income-Eligible-Programs/LMI-Stakeholder-Resources-New-Efficiency-New-York/NYS-Affordable-Multifamily-Energy-Efficiency-Program.

[85] *See*, *AMEEP Program Manual*, New York State Energy Research and Development Authority, at PDF 59. Available at: https://www.nyserda.ny.gov/-/media/Project/Nyserda/Files/Programs/LMI/Affordable-Multifamily-Energy-Efficiency-Program/AMEEP-Program-Manual.pdf.

Q. How much of an added energy burden can EAP enrolled/eligible residents of NOAH housing face when their heating is switched from landlord furnished fossil fuel-based heating to in-unit electric heating they pay for themselves?

A. The additional costs borne by tenants in these situations can be substantial, depending upon the electrification technology and to what extent, if any, landlords adjust rent to offset the assumption of heating costs by their tenants. One estimate can be gleaned from the annual inputs used by Con Edison to update of its EAP discount calculations. For the program year December 1 2024 through November 30 2025, the undiscounted average monthly bills for electric heating was $251.87; while the average for non-heating was $139.29. Since currently there is no difference between electric heating and non-heating discounts in EAP Tiers 1 and 2, this means that EAP participants in these tiers who assume the cost of their heating through electrification would incur annual electric bill increases of approximately $1,350, based solely on undiscounted average monthly electric bills.[86]

Q. Are more HEAP-eligible households in the Con Edison service paying for their own utility electric heating than were in 2019?

A. Yes. I estimate that the number of HEAP-eligible households in the service area paying for their own utility electric heating needs has increased over 50% since 2019, from 70,091 to 107,896 households. (Exhibit ___(WDY-09) at 35, 41) The percentage of HEAP-eligible households reporting that they paid for their on utility electric heating rose from 7.8% to 11.9% during this period. (Exhibit ___(WDY-09) at 33, 35, 41; Exhibit ___(WDY-12) at 3).

Q. Did low-income electric energy burdens in the Con Edison service area increase between 2019 and 2023?

A. Yes. I estimate that electric energy burdens for households in the service area who paid for their utility electric heating rose from 8.1% in 2019 to 9.2% in 2023. For households who paid only for non-heating utility electric service in 2019; but paid for utility electric heating in 2023, electric energy burdens rose from 6.4% to 9.2%. (Exhibit ___(WDY-09) at 39,

[86] *See*, Case 14-M-0565, *Con Edison EAP Annual Update*, December 1 2024, at PDF 1, 4. Available at: https://ets.dps.ny.gov/ets_web/search/showPDF.cfm?%2F%3AIO%27%3A%2B%21GMR%2F%20%5E%2AG%29%22%5CKZ%0A.

43). This is even though, on average, Tier 1 – 4 EAP discounts for electric service more than tripled between 2019 and 2023, reflecting the new methodology for calculating discounts set forth in the August 2021 EAP Update Order.[87] (Exhibit ___(WDY-04) at 136).

Q. Do you support Con Edison's proposed Affordable Multifamily Electrification Pilot?

A. Yes. However, I recommend that the proposal be modified to proactively include in the design of its pilot all eligible heating electrification measures through the New York State Affordable Multifamily Energy Efficiency Program ("AMEEP"), including but not limited to PTACs, mini-splits and wall heaters.

Account Coding Of Con Edison Electric Customers Who Are "Electric Heaters"

Q. How many EAP participants were identified as electric heaters by Con Edison in 2023?

A. The Company's response to I/R PULP-31D indicates that 2,957 Con Edison EAP participants were identified as electric heaters at the end of 2023, just 3% of my estimate of 107,896 HEAP-eligible households in the service area using electricity as their primary heating source. By 2024, the number of EAP participants classified as electric heating customers had risen to 3,309. (Exhibit ___(WDY-04) at 201).

Q. Can you explain why so few EAP participants are identified by the Company as electric heaters when compared with the number of HEAP-eligible households in the Con Edison service area who report paying for their own utility electric heating?

A. There are likely several factors involved. For example, some of the disparity could be due to the increasing number of electric submetered households in the Con Edison service area whose buildings have also converted from fossil fuel-based heating included in rent to in-unit electric heating. These households would not be customers of Con Edison.

[87] *See*, Cases 19-E-0065 et al., *Testimony of William D. Yates, CPA for the Public Utility Law Project of New York, Inc.*, at Exhibit ___(WDY-08) at 477. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={EB367C80-0CEF-4DD2-9BD4-72246A8C8DD3}.

Another possibility is that in some ACS responses, households whose heat is included in rent may be erroneously characterizing their use of electric space heaters to supplement landlord-provided heat as indicating that their primary heating source is electricity provided by Con Edison. This issue merits further study.

A further scenario simply has to do with my estimate that only about 53% of customers potentially eligible EAP are actually enrolled in the program. To the extent that EAP enrollment were to increase, it is logical to assume that some new participants would already be identified by Con Edison as electric heaters. In this regard, I note that the Company's response to I/R PULP-31C identified 23,672 Con Edison residential customers (both EAP and Non-EAP) as electric heaters at the end of 2023, rising to 23,826 in 2024. (Exhibit ___(WDY-04) at 201).

And finally (though non-exhaustively), it appears that some Con Edison customers who are HEAP-eligible households already paying for their own electric heating may not be identified as such by the Company.

Q. Please discuss the evidence you obtained that some Con Edison customers who are HEAP-eligible households paying for their utility electric heating may not be identified as such by the Company.

A. I reviewed OTDA fair hearing decisions from 2019 through 2024 in which Con Edison customers disputed the inadequacy of the HEAP benefits awarded to them by HRA.[88] In eight cases, HRA awarded "renters HEAP" (non-heating) grants ranging from $45 - $50 because it determined that appellants' heating was included in their rent. Countering these determinations, I found that appellants made credible statements in each case supporting their contention that they paid for their own heating using electricity provided by Con Edison. Some appellants even identified the equipment they used for electric heating, such as wall-mounted indoor units, baseboard electric heating and packaged terminal air conditioner (PTAC) systems. None indicated that they used space heaters to supplement landlord-provided heat. In two cases, I found that appellants had contacted Con Edison to

[88] *See*, *Search for Fair Hearing Decisions*, Office of Temporary and Disability Assistance. Available at: https://otda.ny.gov/hearings/search/.

correct the coding of their accounts as "electric heating". In one such instance, the Company had subsequently completed this recoding; in the other, the customer was still waiting for Con Edison to complete the recoding.

Q. Please describe the two cases you found in which Con Edison had recoded or were in the process of recoding customer accounts as "electric heating".

A. In Fair Hearing #8569293Y, the appellant testified that she paid separately for heating expense; but HRA presented its "Con Edison: Public Assistance Central—HEAP Account Inquiry for the Appellant" which indicated that she did not pay separately since she does not have an electric heat and/or gas heating account. However, at the hearing the appellant submitted into evidence a statement provided by Con Edison dated April 11, 2023 which stated "we have changed your Con Edison electric rate from Service Classification No 901 to Service Classification 907 Residential Heat Social Benefits as of January 6, 2023." The Administrative Law Judge ("ALJ") reversed HRA's determination of HEAP benefits for the appellant. (Exhibit ___(WDY-10) at 31 – 36).

In Fair Hearing #8769170K, the appellant testified that they have a separate expense for heating because their apartment had electric board heating installed a few years ago and Con Edison did not change their account to a heating account. The appellant further stated that the Company had just inspected the apartment but had not yet updated the account to reflect that the appellant pays separately for electric heating. In this case, the ALJ ruled that, although the appellant may be eligible for additional benefits, their Con Edison account does not support their contention that they pay separately for heat. The ALJ therefore found that HRA's determination to provide $50.00 in HEAP benefits was proper. (Exhibit ___(WDY-10) at 42 – 47).

Q. Please describe the case you found in which the customer providing a statement from her landlord that the building in which she resides is completely electric.

A. In Fair Hearing #8562005Z, the appellant testified that she is responsible for the heating and cooling in her unit which is run by electricity, providing a statement from her landlord that the building in which she resides is completely electric. However, because the appellant failed to submit any proof of her heating expense, and her Con Edison: Public

Assistance Central—HEAP Account Inquiry indicates that she does not pay for electric or gas heat, the ALJ found that HRA's determination to provide $50.00 in HEAP benefits was proper. (Exhibit ___(WDY-10) at 16 - 20).

Q. Please discuss the case you found in which the appellant's hearing statements credibly supported their contentions that they indeed were paying for their own heating using electricity provided by the Company.

A. In Fair Hearing #8268947M, although HRA stated that upon the HEAP inquiry to Con Edison, information returned indicated that the appellant does not pay for heat, the ALJ found the appellant's statements credible due to their detail, accuracy, and consistency; while finding that HRA failed to submit sufficient evidence to rebut the appellant's credible statements and, accordingly; reversed HRA's determination. (Exhibit ___(WDY-10) at 2 – 5).

Q. Please discuss the next two cases you found in which customer hearing statements credibly supported their contentions that they indeed were paying for their own heating using electricity provided by the Company.

A. In Fair Hearing #s 8764009Z and 8835690N, the appellants provided statements describing the specific types/brands of the heating equipment they used to heat their units with electricity provided by Con Edison. In Case 8764009Z, the appellant's spouse testified at the hearing that their home is heated with a Mitsubishi Electric System;[89] while in Case 8835690N, the appellant stated that their home is heated with Packaged Terminal Air Conditioner (PTAC) system. At each hearing, HRA presented the appellant's Con Edison: Public Assistance Central—HEAP Account Inquiry which indicated that they did not pay for gas or electric heat. And in each case, the ALJ found that HRA's determination to provide only $50.00 in HEAP benefits was proper. (Exhibit ___(WDY-10) at 37 – 41, 48 – 52).

[89] *See*, *Mitsubishi Electric Heating & Air Conditioning Indoor Solutions*. Available at: https://discover.mitsubishicomfort.com.

Q. Please discuss the final two cases you found in which customers' hearing statements credibly supported their contentions that they indeed were paying for their own heating using electricity provided by the Company.

A. In these cases (Fair Hearing #s 8506558M and 8550072K), the appellants contended that they had separate heating expenses because their rental units had central heating/cooling systems operated by electricity. Additionally, they contended that their lease agreements indicated that they were responsible for heating/cooling costs. However, HRA's case records for each appellant included a Con Edison: Public Assistance Central—HEAP Account Inquiry report indicating that they did not pay for heat since did not have an electric heat and/or gas heating account. Therefore, in each case the ALJ found that HRA's computation of a HEAP benefit in the amount of $50.00 was correct. (Exhibit ___(WDY-10) at 6 – 15).

Q. What are the consequences for Con Edison customers who actually pay for their own electricity as their primary heating source; but are denied HEAP heating grants and only provided with renter's HEAP benefits?

A. Customers in this situation miss out on the level of assistance they need to pay for their heating needs in at least three ways. First, in the cases I have described, they would have received only $45 - $50 in renter HEAP benefits; whereas they would have been entitled to heating grants ranging from $350 - $400 had they been identified as electric heaters.

Secondly, to the extent that any of these affected customers were EAP participants enrolled through matching, they would only have been entitled to receive Tier 1 non-heating discounts. Had they instead been the recipients of heating grants that they elected to apply to their Con Edison accounts, they may have been eligible for EAP Tiers 2 – 4 heating discounts. The difference would have been substantial: Tier 1 non-heating discounts would have ranged from $360 to $480; while Tiers 2 – 4 heating discounts could have ranged from $840 - $1,400.

Finally, customers neither matched for EAP nor having applied heating grants to their Con Edison accounts would not have been enrolled in EAP at all, unless they were to have self-certified. Customers in this situation would have been left with just $45 – $50 renter's

HEAP benefits to assist them with their electric heating costs. For these customers, the annual total of assistance not provided (HEAP heating plus EAP discounts) could have reached $1,200 - $1,800. (Exhibit ___(WDY-04) at 134 – 154).

Q. What information about Con Edison's process for recoding residential electric customers from non-heating to heating were you able to obtain?

A. The Company's responses to I/Rs PULP-39, PULP-40 and PULP-43 state that when a customer who is not coded as having electric heating informs the Company that they have electric heating, a rate (RTE) case is created to schedule a field visit. During this visit, a Senior Customer Service Representative (SCSR) inspects the premises and verify the customer's heating source. If the SCSR confirms that the customer has electric heating, the customer's account is updated accordingly to the appropriate Service Classification No. 1 electric heating code. Con Edison also indicates that it does not have specific training related to the practice of assisting customers when they change their electric service to "residential electric service heating." The Company trains SCSRs in the process of assisting customers with any service class changes, which include situations in which residential customers change their electric service to electric heating. As of April 10 2024, there were approximately 45 active RTE cases associated with residential electric heating where customers have a field visit scheduled that had not yet been conducted. (Exhibit ___(WDY-04) at 210 – 211, 214).

Q. How long does it take for the inspection and recoding process to be completed?

A. Con Edison's responses to I/R PULP-55 indicates that it does not track the average number of days it takes customers to have their premises inspected. The Customer Operations Panel states that, when customers call for an appointment, they are normally scheduled within a four-week timeframe with date and times that are amenable to customers and when Company resources are available. The Panel further states that, during peak fielding periods, this timeframe can extend up to six weeks. (Exhibit ___(WDY-14) at 38).

The Company's response to I/R PULP-56 states that an analysis of cases completed from May 1, 2024 to April 30, 2025, indicates an average completion time of 63 days to code

customer accounts as electric heating after they have had their premises inspected and electric heating confirmed. (Exhibit ___(WDY-14) at 39).

I therefore estimate that, taken together, the inspection and recoding process averages 91 days, or about three months; but that it can extend up to 105 days during peak fielding periods.

Q. What is your recommendation in light of the cases you found?

A. In any multi-year settlement in these proceedings, I propose that the Company commit to:

A. Developing analytical tools designed to assist in the identification of electric customers currently coded as non-heating who may actually be responsible for their own heating. For example, creating the ability to identify customers who average electric usage from November 1 – April 15 has increased in a manner consistent with usage for electric heating;

B. Proactively engaging in direct outreach to these customers to determine whether are indeed responsible for their own electric heating needs, and to notify them that that they can schedule a field visit to their premises to verify that they have electric heating;

C. Additionally screening such customers for bill assistance eligibility (such a EAP); or protections against service terminations (such as EBD coding), and facilitating the enrollment of eligible customer in these programs;

D. Completing, on a timely basis, the steps necessary to investigate and, as applicable, recode accounts for all customers requesting recoding; prioritizing customers who are receiving, or screen as eligible for, bill assistance or protections against service termination (especially those who have received HEAP or Emergency HEAP in the past or have qualified for EAP through another qualifying benefit);

E. Issuing bill credits in the amount of regular HEAP heating grants in effect as of the date customers requested to have their Con Edison account recoded. This provision shall apply only to customers:

1. Enrolled in, or screened eligible for, bill assistance or protection against service termination, and;
2. Whose requests for recoding have been outstanding for more than 105 days, and;
3. Who have not engaged in conduct causing the delay of recoding such as not allowing Con Edison access to their premises for investigations to confirm they have electric heating, and;
4. Who have been denied a HEAP award or received inadequate HEAP assistance through a renters benefit on the basis that their account appeared to be a non-heating account due to the delayed outcome of their requests for recoding.

F. Reporting to the Commission annually (with posting to DMM) the number of:

1. Customers contacted to determine whether they have become responsible for their on electric heating needs;
2. Requests for recoding received by the Company;
3. Investigations completed;
4. Customers recoded as electric heating;
5. Open RTE cases at the end of the Rate Year;
6. Customers filing complaints with the Company pertaining to requests for recoding, and;
7. Customers filing complaints with the DPS Office of Consumer Services pertaining to requests for recoding, and;
8. Customers having been issued credits pursuant to “E.”, above.

Problems with Landlord Accounts and Multiple Dwellings

Q. Please explain what the rules are around multiple dwellings where the Con Edison account is in the landlord, owner, or property manager's name and service may be disconnected for nonpayment, which will affect the tenants residing at the premise.

A. In New York State, Section 235-a of the New York Real Property Law and Public Service Law Sections 33 and 116 when the utility service belongs to an account holder who is the landlord, owner or property manager's name (hereinafter referred as "landlord accounts") and that service benefits tenants. Such service could be to common areas, such as lights in the hallways or the electricity needed to safely operate the elevator. It also could be direct electric or gas to the tenants' units, such as cooking gas or heating to the apartment. When the landlord falls behind on their payments, the utility can proceed with the termination of service, but they must provide at least fifteen days' notice to the tenants prior to conducting the disconnection. The tenants can stop the termination of service in two ways, depending on the number of total units. When there are less than 3 units, the tenants can pay the utility directly and then offset the payment from their rent. When there are 3 or more units, the tenants may form a tenant's association, collecting payment from their fellow tenants, and then pay the Company directly.

Q. Do you have concerns about the practice of terminating utility service when the account is in the landlord's name?

A. Yes, I am very concerned about the risk of losing vital utility service to any building where the account is in the landlord's name. In PULP's experience, the tenants are essentially caught in the middle and the options for preventing the loss of service are very limited. I am unaware of any instances in which tenants of a multiple dwelling with more than three units have been able to pool together payments to prevent disconnection, let alone make monthly payments moving forward.

Moreover, in PULP's experience when the service to the multiple dwelling is terminated it is very difficult to have service restored. To begin, the tenants cannot apply for financial service such as emergency energy assistance under 131-s of the Social Service's Law because the account is not in their name, but in their landlord's name. In addition, the

Department of Public Service's complaint process can offer little assistance since the tenants are not the account holder. Complaints can be made relating to lack of notice pursuant to Public Service Law Sections 33, but this is very narrow and ultimately does not get to the heart of the problem, which is the landlord/owner's failure to pay on the account. The tenants also struggle to obtain certain information from the Company, such as the actual date the service termination will occur as well as the total account balance, and if the service is disconnected, when it will be physically restored.

Q. In your experience, how is service typically restored to accounts associated with a multiple dwelling where the landlord is the account holder?

A. Typically, the tenants must pressure the landlord/owner or the property management company to enter into a payment agreement with the utility or hope that by contacting 311, the NYC Housing Preservation and Development Agency can take over the account and establish service. PULP has not found any of these options to be dependable; instead, they have been very risky to the tenants residing in the multiple dwelling. In PULP's experience, it can take several days to weeks to resolve these situations. In many situations, PULP refers the tenants to legal service attorneys who may be able to assist them in Housing Court to seek relief based on violations to their lease agreement. Ultimately, PULP has been frustrated as its role in these situations is also very minimal. I am concerned about the tenants who've lost vital utility service but PULP has very limited recourse to assist them.

Q. Is the Company able to track these types of buildings and accounts?

A. Yes, in the Company's response to I/R PULP-17, Con Edison indicates that it can track accounts associated with multiple dwellings where the account holder is a landlord within the Customer Care and Billing (CC&B) system. The Company lists the premise as a "Multi Dwelling" when the account is a landlord account. (Exhibit ___(WDY-04) at 25 – 26)

Q. Of these landlord accounts, how many Multiple Dwelling accounts exist in the Company's service territory?

A. In its response to I/R PULP-57, the Company indicated that as of May 2, 2025, there are 241,089 total accounts with 223,836 located in NYC and 17,253 located in Westchester County. (Exhibit ___(WDY-14) at 40).

Q. What does the Company's data show in relation to how many landlord accounts for multiple dwellings were terminated for nonpayment in the last calendar year?

A. The Company's response to I/R PULP-68 indicates that in the last calendar year 38 multiple dwelling accounts were terminated in NYC and 2 in Westchester County. (Exhibit __(WDY at 51).

Q. Do you have concerns about the possible number of terminations to multiple dwelling accounts in 2025, through the rate plan?

A. Yes. I am concerned because I believe that the number of terminations will only increase. In response to I/R PULP-73, the Customer Operations Panel reported that in March 2025, for multiple dwelling accounts, Con Edison terminated service to one building in NYC and none in Westchester County. (Exhibit ___(WDY-14) at 58). While this number is low, the Company's response to I/R PULP-70 states in March 11,037 service termination notices were sent to multiple dwelling accounts in NYC and 906 service terminations sent to multiple dwelling accounts in Westchester County. (Exhibit ___(WDY-14) at 55). Its response to I/R PULP-71 indicates that the number of accounts eligible for field action in March included 3,255 multiple dwelling accounts in NYC and 270 multiple dwelling accounts in Westchester County. (Exhibit ___(WDY-14) at 56). I am therefore concerned that going forward, there is an alarming risk that terminations to multiple dwelling buildings could be widespread, potentially impacting the utility service of tens of thousands of residential customers.

Q. Do you have concerns about the potential for high levels of uncollectibles associated with multiple dwelling accounts in 2025, possibly extending throughout any multi-year rate plan in these proceedings?

A. Yes. Potential uncollectibles associated with multiple dwelling buildings also merits attention. The response of the Customer Operations Panel to I/R PULP-72 states that, of the 12.4% percentage of residential accounts classified as uncollectible that month having had less than one year of service, 0.79% (11 of 1,392 accounts) were multi-dwelling accounts located in New York City, and 0.22% (3 of 1,392 accounts) were multi-dwelling accounts located in Westchester. Overall, New York City accounted for 0.098% of 11,230

uncollectible accounts in March, while Westchester made up 0.027% of the total. (Exhibit ___(WDY-14) at 57).

Q. Do you have any specific proposals relating to helping address arrears and prevent service terminations to multiple dwellings where the account is in the landlord's name?

A. Yes. As I have expressed, the sheer number of landlord accounts behind on their payments and at risk for service termination, together the associated potential uncollectibles, are of acute concern, and therefore should be addressed in these proceedings. Accordingly, I have three recommendations addressing arrears and preventing disconnections associated with landlord accounts. First, I propose that Con Edison increase efforts to locate landlords in these situations, many of whom may be absentee. In such situations, I fear that many cases in which landlords have fallen behind on their Con Edison bills may be ones in which they are attempting to unlawfully evict tenants. Efforts by Con Edison to locate landlords prior to notifying tenants that their building is at risk of service termination could include using online public resources, such as the E-COURTs search engine through the NYS Unified Court System, to determine whether such landlords have attorneys. For situations in which landlords have attorneys, the Company should make proactive efforts to contact the attorneys first to make them aware of pending terminations. I believe that proactive steps such as these, when conducted prior to the timeline where the Company must notify the tenants that their building is at risk of service termination, could mitigate some of the risk faced by tenants in these buildings.

My second recommendation is to increase targeted outreach to the tenants themselves residing in multiple dwelling building facing the possibility of service termination. To begin, Con Edison should determine whether such buildings have existing Tenants' Associations ("TAs"). The Company should contact TAs where this is the case in an effort to better inform tenants by providing more proactive and detailed notice of what's happening; and then remain in touch with TAs during the notification process. Moreover, the Company should conduct direct outreach to the tenants, whether a TA exists. For buildings without TAs, Con Edison should make efforts to distribute flyers outside

building entrances and, where there is access, going door-to-door to individual units to provide notice.

Finally, I recommend that Con Edison notify elected officials representing the districts associated with multiple dwelling buildings at risk of service termination, including local level elected officials such as city or other municipal councils, counties, and district offices of State assembly members and senators. As with enhanced notice to landlords, such outreach should be conducted and completed prior to the Company's timeline to issue official notice to tenants that their buildings are at risk of service termination.

Voluntary Suspension of Service Terminations During Cold Weather and Extreme Heat

Q. Please describe the cold weather protections against service termination agreed to by Con Edison in Cases 22-E-0064 et al.

As part of the settlement in the 2022 cases, the Company committed to continuing the following protections during the Cold Weather Period from November 1 to April 15: [90]

- Con Edison customers could utilize a HEAP payment for service restoration when service is turned off for non-payment during the Cold Weather Period;
- Con Edison would grant a payment agreement upon a customer's request, utilizing the HEAP payment as a down payment;
- Con Edison will not terminate service to residential customers on days when the forecasted high temperature, factoring in wind chill, will not exceed 32 degrees, regardless of whether the day falls within the Cold Weather Period, and;
- Con Edison would not turn off known elderly, blind, and disabled customers during the Cold Weather Period.

Q. Do you believe these protections should be continued in any multi-year settlement than results from these proceedings?

[90] *See*, Cases 22-E-0064 et al., Joint *Proposal*, at 107. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={070F9CB3-17F6-4FAD-B030-1139B47545B5}.

A. Yes. Preventing service terminations during extreme cold is a public health, safety, and welfare issue. Vulnerable customers must be able to rely upon electricity to operate their heating equipment and/or to provide natural gas for home heating. Without such service, the risk of hypothermia during cold weather periods increases, as does the possibility that customers who have been disconnected will resort to unsafe alternatives for their lighting and heating. I therefore recommend that this provision of the 2022 cases be continued.

Q. Please describe the extreme heat protections Con Edison agreed to in 2022.

A. Con Edison agreed to suspend service termination for non-payment ("TONP") for residential customers during certain heat events as follows:[91]

- On days where the heat index is forecasted by the National Weather Service to reach 90 degrees or higher;
- One calendar day before days where the heat index is forecasted by the National Weather Service to reach 90 degrees or higher, and;
- If the actual heat index reaches 90 degrees or higher on a given day, the Company will suspend residential TONPs on the following two calendar days.

The Company also agreed to add language to its residential disconnection notices informing customers of these weather protections, and to include information about protections for customers using supplemental heating equipment in the annual rights and responsibilities for residential and religious customers and on its website.

Q. Have there been any statewide initiatives addressing the need for protections against service terminations during periods of extreme heat since the 2022 proceedings?

A. Yes. On January 23, 2025, the Commission instituted a proceeding, the goal of which will be to require the State's largest investor-owned electric utilities, and water utilities, to establish uniform standards and procedures related to extreme heat events, which are becoming more prevalent because of global climate change. The Commission cited the

[91] *Id.* at 107 – 108.

impact of extreme heat on New York residents, particularly the elderly, young, and vulnerable, as the rationale for requiring such standardization.[92]

Q. Do you think it is likely that the Commission will adopt an order standardizing utility procedures related to extreme heat events during the pendency of these proceedings?

A. Yes.

Q. What is your recommendation should the Commission *not* adopt such an order by the inception of the Rate Year in these proceedings?

A. I recommend that the protections against service termination agreed to by Con Edison in the 2022 cases be continued as part of any multi-year settlement in these proceedings, subject to supersession by any Commission order in Case 24-M-0586. Preventing service terminations during extreme heat is also a public health, safety, and welfare issue. Vulnerable customers must be able to rely upon electricity to operate their air conditioning units at home.

Conclusion

Q. Does this conclude your testimony?

A. Yes.

[92] *See*, Case 24-M-0586, *Order Instituting Proceeding* at 1 – 2. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={A0029494-0000-C717-B8D6-FBAD79294C85}.